

Airbus SE

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COMPANY PROFILE

Airbus SE designs, manufactures and supports commercial aircraft, helicopters, military air systems, satellites and secure communications products. Its main exposures are commercial-aircraft production rates, aftermarket revenue from the installed fleet, European defence procurement and fixed-price space-programme execution. The group reports three segments: Airbus, Airbus Helicopters, and Airbus Defence and Space.

RECOMMENDATION

HOLD

12-month horizon

CURRENT PRICE

193.62 EUR

as of report date

TARGET PRICE

179.30 EUR

12-month fundamental

IMPLIED UPSIDE

-7.4%

vs. current price

MARKET CAP

EUR 152.7 bn

shares × price

ENTERPRISE VALUE

EUR 149.1 bn

mcap + EV adjustments

P/E 2025E

33.7×

EV/EBITDA 2025E

18.3×

FCF YIELD 2025E

0.8%

DIVIDEND YIELD
2025E

1.1%

NET DEBT / EBITDA
2025E

-0.5×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION HOLD 12-month horizon	TARGET PRICE 179.30 EUR 12-month fundamental	CURRENT PRICE 193.62 EUR as of report date	IMPLIED UPSIDE -7.4% vs. current price
MARKET CAP EUR 152.7 bn shares × price	ENTERPRISE VALUE EUR 149.1 bn mcap + EV adjustments	P/E · EV/EBITDA 2025E 33.7x · 18.3x history + peers, see p. 18-19	FCF · DIV YIELD 2025E 0.8% · 1.1%



01 **Scarce commercial-aircraft franchise**

Airbus controls an estimated 58–60% of the single-aisle market and leads Boeing in deliveries, supporting pricing, backlog duration and production learning.

58–60% narrowbody share

02 **Installed fleet creates recurring value**

Commercial Aviation Services generated an estimated €5.45 billion in 2025 and can grow as the Airbus fleet expands, even when new-aircraft deliveries are delayed.

€5.45bn services revenue

03 **Cash timing tempers earnings upside**

Inventory and work in progress consume cash before delivery. The model forecasts only €1.23 billion of 2026 FCFF despite sharply higher EBIT.

€1.23bn 2026 FCFF

**THESIS
BREAKER**

The case fails if supply normalisation does not convert backlog into deliveries, margin and cash by 2028.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.

Share price — last 36 months

EUR per share, with 12-month target line



CURRENT PRICE

193.62 EUR

20 August 2026

TARGET PRICE

179.30 EUR

12-month

IMPLIED UPSIDE

-7.4%

vs. current

52-WEEK HIGH

221.25 EUR

past 12m

52-WEEK LOW

157.48 EUR

past 12m

1-YEAR CHANGE

+15.5%

price only

3-YEAR CHANGE

+63.4%

price only

REPORT DATE

20 August 2026

READING THE MOVE

The evidence supports a rerating from higher deliveries, 12% H1 2026 revenue growth and management's €12–13 billion 2029 Adjusted EBIT outlook. Offsetting this, H1 free cash flow before customer financing was negative €1.2 billion and inventory was built ahead of H2 deliveries. The €197.9 target is only modestly above the €193.62 control price.

VALUE BREAKDOWN · PART 1

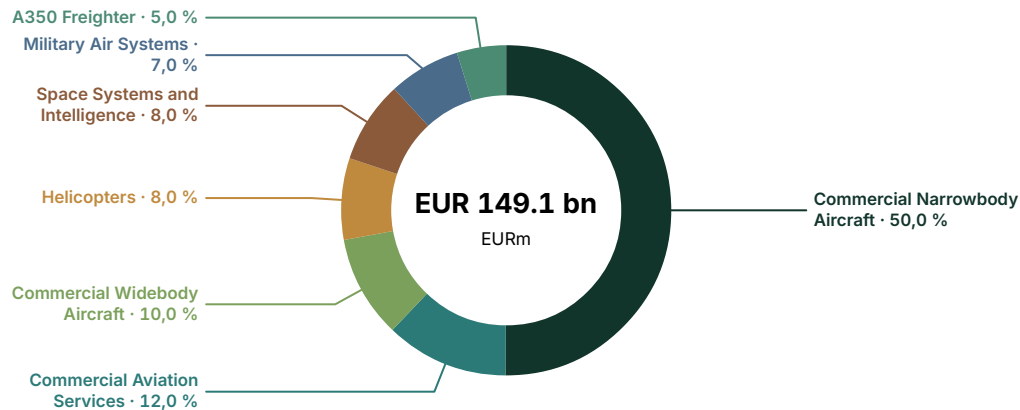
Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

EUR millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise - value allocation against reported economics. "Reported" rows match a verified company - reported segment; "Modelled allocation" rows are model - side splits. Business divisions may differ from company - reported accounting segments.

	EV	EV %	REVENUE	REV %	REPORTED EBIT	REPORTED EBIT % OF TOTAL	BASIS
Commercial Narrowbody Aircraft	74,534	50.0%	36,000	49.0%	3,600	59.2%	Modelled allocation
Commercial Aviation Services	17,888	12.0%	5,450	7.4%	255	4.2%	Modelled allocation
Commercial Widebody Aircraft	14,907	10.0%	10,016	13.6%	700	11.5%	Modelled allocation
Helicopters	11,925	8.0%	8,619	11.7%	953	15.7%	Reported
Space Systems and Intelligence	11,925	8.0%	2,935	4.0%	-61	-1.0%	Modelled allocation
Military Air Systems	10,435	7.0%	10,400	14.2%	700	11.5%	Modelled allocation
A350 Freighter	7,454	5.0%	0	0.0%	0	0.0%	Modelled allocation
Total	149,068	100.0%	73,420	100.0%	6,082	101.1%	

VALUE BREAKDOWN · PART 2

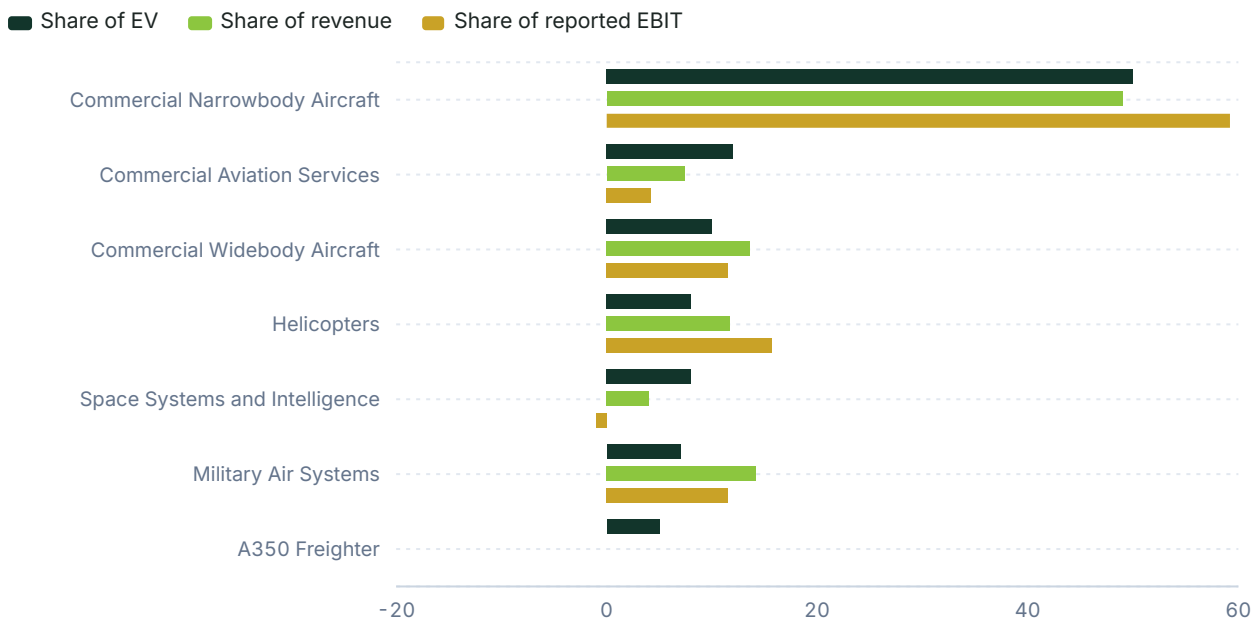
Where value sits versus where money is earned

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

05

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

Narrowbody production accounts for half of enterprise value. The other half comes from recurring services, widebodies, helicopters, defence, space and the A350F option. Higher aircraft output increases near-term working-capital needs, but also expands the installed base that supports recurring services revenue.

RECOMMENDATION

Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

HOLD. The 12-month target price is EUR 179.3, implying 7.4% downside from the current price of EUR 193.62.

The current price assumes Airbus delivers more than a cyclical recovery. The reverse valuation requires revenue to rise from €75.1 billion in 2025 to €93.7 billion in 2027, while EBIT margin rises from a market-implied 6.8% to 8.1% and eventually reaches 11.8%. This is achievable, but demanding. H1 2026 revenue rose 12% to €33.2 billion, management retained its approximately 870-aircraft delivery target, and introduced a €12–13 billion Adjusted EBIT objective for 2029. Cash conversion remains the challenge: Airbus must deliver 519 aircraft in H2 2026 after only 351 in H1.

The evidence is strongest for long-term franchise value and weakest for the timing of its conversion into earnings. Airbus led commercial deliveries with approximately 59% as of May 2026, held a 51% share of civil and parapublic helicopter bookings, and recorded €9.3 billion of H1 Defence and Space orders. Against this, H1 free cash flow before customer financing was negative €1.2 billion, inventory reached €46.9 billion at the end of Q1, and Pratt & Whitney engine availability remains a key constraint through 2028. The valuation recognises the backlog and installed base, but does not assume a smooth production ramp.

The main argument against HOLD is that management's €12–13 billion 2029 Adjusted EBIT outlook could make the shares appear inexpensive before the target year if supply normalises quickly. A sustained A320 rate near 75 per month, A350 output approaching 12 per month and recurring services growth would support higher earnings and a higher multiple. This does not change the call. Today's price already requires material margin expansion, while the model's 2026–2027 free cash flow remains constrained by capital expenditure and working capital.

The call would become constructive if finished-aircraft inventory falls as deliveries and customer receipts rise, with no cut to the 870-aircraft objective and visible progress toward €12 billion of EBIT. It would become negative if engine shortages defer Rate 75 beyond 2029, H2 cash conversion misses the approximately €5.7 billion inflow needed to meet external 2026 cash expectations, or further fixed-price space charges absorb the recovery in defence earnings.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Commercial Narrowbody Aircraft is the largest value driver: €76.31 billion, or 50%, based on €6.105 billion of 2027 EBITDA at a 12.5x multiple. Commercial Aviation Services is second at €18.31 billion, or 12%, and depends on higher recurring revenue and margin from an estimated €5.45 billion FY2025 base. Passenger widebodies contribute €15.26 billion, with A350 rate progression more important than list prices.

Helicopters contribute €12.21 billion, supported by a reported 10.6% FY2025 segment EBIT margin and leading civil bookings. Military Air Systems contributes €10.68 billion, but requires defence budgets to convert into funded orders. Space contributes €12.21 billion if fixed-price charges remain contained. The pre-revenue A350 Freighter contributes €7.63 billion after certification, market-share and failure probabilities are applied.

ANALYTICAL ANCHOR

The key group variable is not order demand. It is the conversion of backlog and customer advances into delivered aircraft, margin and cash.

08.1

Commercial Narrowbody Aircraft

Business division deep dive — Profit engine.

SIZE OF THE PRIZE: GLOBAL SHORT-HAUL AVIATION SPENDING

The opportunity extends beyond the USD 115.9 billion narrowbody-aircraft market estimated by Straits Research in August 2026. Coherent Market Insights estimated global domestic-aviation spending at USD 1.001 trillion for 2026, covering airline activity shaped by seat capacity, utilisation, fuel burn and fleet ownership costs. The aircraft market is therefore roughly one-ninth of the operating market it supports. The valuation uses aircraft revenue and EBITDA, not the trillion-dollar airline pool. However, that broader pool explains why small gains in fuel burn, range or seat density can support demand for thousands of aircraft. Airbus captures airframe and support economics, not the airline revenue generated by every seat.

Airbus already captures an unusually high share of this opportunity. AIN and Leeham placed Airbus at 58% of the global single-aisle market in January 2026, including 54% for the A320neo family and 4% for the A220. Simple Flying later put the A320neo family alone at approximately 60%. The figures use different programme definitions and measurement bases. This report uses the 58% combined-programme figure for market structure and treats 60% as a rounded indication of A320neo-family leadership. Boeing was reported at either 33% of programme orders or about 40% under a narrower delivery comparison, while COMAC and Embraer represented approximately 7% and 2% in the AIN framework. The issue is not demand, but converting existing share into deliveries without undermining cash conversion.

SHARE CREATES VALUE ONLY WHEN ORDERS BECOME DELIVERIES

At the group level, Airbus delivered 351 commercial aircraft in H1 2026 and maintained guidance for approximately 870 for the full year, leaving 519 required in H2. Within H1, 271 A320-family aircraft and 44 A220s made narrowbody aircraft 315 of the 351 total, or 89.7% by units. This report models €36.0 billion of FY2025 narrowbody revenue inside the reported Airbus segment's €51.466 billion of external sales; it is explicitly an analytical split, not company-reported revenue. The estimate assigns the majority of aircraft revenue to the much larger narrowbody delivery stream and leaves €10.016 billion for widebodies and €5.45 billion for Commercial Aviation Services. The three amounts reconcile exactly to reported Airbus external sales, preserving the audited segment boundary while exposing the economics hidden within it.

COMMERCIAL NARROWBODY AIRCRAFT FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 36,000m

MODEL ESTIMATE REPORTED EBIT
EUR 3,600m

MODELLED FY2025 EBIT MARGIN
10.0%

SOTP METRIC AND MULTIPLE
€6.105bn 2027E EBITDA × 12.5x

H1 2026 DELIVERIES
271 A320-family; 44 A220

A320 PRODUCTION OBJECTIVE
70-75/month by end-2027

A220 PRODUCTION OBJECTIVE
13/month by 2028

SINGLE-AISLE MARKET SHARE
58-60% depending on methodology

H1 2026 REALISED A320 PACE
45.2/month

PRINCIPAL BOTTLENECK
Pratt & Whitney GTF engines

08.1

Commercial Narrowbody Aircraft (continued)

Business division deep dive — Profit engine.

Monthly rates better explain the required volume than annual guidance. H1 2026 A320-family deliveries of 271 imply 45.2 aircraft per month, versus Airbus's target of 70–75 per month by the end of 2027. A sustained 72.5 monthly midpoint would equal 870 A320-family aircraft annually before A220 or widebody deliveries. An exit rate is therefore not a full-year delivery forecast. Redburn analysts reportedly expect a full-year rate of 75 no earlier than 2029, versus Airbus's end-2027 objective. The valuation assumes progress toward Rate 75 in 2027, not a full 900-unit A320 year. It also requires production and delivery to converge as engines and cabin equipment arrive.

UNIT ECONOMICS ARE INFERRED FROM REVENUE, MIX AND MARKET PRICING

Airbus does not disclose narrowbody revenue, discounts or internal production cost per aircraft. The report therefore uses a transparent triangulation, not a false point estimate. The €36.0 billion FY2025 revenue allocation, divided by assumed 650–700 narrowbody-equivalent deliveries and related support, implies approximately €51–55 million of revenue per delivered equivalent. This is consistent with a mid-2025 market value of around USD 55 million for a new Boeing 737 MAX 8, well below list prices. It is not a contractual Airbus selling price, as customer mix, escalation, spare engines, support packages and revenue-recognition timing vary materially.

The model assigns €3.6 billion of FY2025 EBIT to narrowbodies, a 10.0% margin and approximately 79% of the reported Airbus segment's €4.555 billion EBIT. This leaves €700 million for widebodies and €255 million for services, reconciling to the segment total. For 2027, the SOTP uses €6.105 billion of modelled narrowbody EBITDA from higher deliveries, A321neo and A321XLR mix, learning and lower disruption. At 12.5x EBITDA, the division contributes €76.31 billion of EV, exactly half of the SOTP. Each one-turn change in the multiple moves EV by €6.105 billion, or approximately €7.73 per share before bridge effects.

THE PRODUCT IS STRONGER THAN THE PRODUCTION SYSTEM

- Airbus: 58% combined single-aisle share in January 2026; H1 2026 deliveries included 271 A320-family and 44 A220 aircraft.
- Boeing: 33% of programme orders in the AIN framework, but approximately 40% in a narrower 2026 comparison; 367 total commercial deliveries through July 2026.
- COMAC: 7% of single-aisle programme orders, but only 10 C919 deliveries in the first seven months of 2026 and 42 cumulative aircraft.
- Embraer: 2% of the 100–240-seat market, although the E195-E2 claimed 76% specifically against the A220 in March 2026.

COMMERCIAL NARROWBODY AIRCRAFT FACT SHEET

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Pratt & Whitney GTF engines

08.1

Commercial Narrowbody Aircraft (continued)

Business division deep dive — Profit engine.

The A320neo family's breadth is its main competitive advantage. The A321neo and certified A321XLR extend the platform into routes that previously required small widebodies, allowing airlines to operate thinner long-haul routes at lower trip cost. The Pratt & Whitney-powered A321XLR received EASA type certification in February 2025, removing a material regulatory hurdle. SMBC Aviation Capital's July 2026 order for 100 A320neo-family aircraft, including 65 A321neos, shows continued lessor demand for the larger model. A higher A321 mix can raise revenue and contribution without proportionately increasing final-assembly slots.

The A220 is strategically useful but less mature economically. It covers the market below the A320neo and helps defend customers against Embraer's E2 family. However, the E195-E2's reported 76% share in its direct contest with the A220 shows Airbus does not lead every narrowbody category. Reports put the 2026 A220 target at either 12 or 14 aircraft per month. Newer August 2026 evidence points to 13 per month by 2028, supported by a Belfast wing-facility expansion due in H1 2028. The report uses 13 because it is the latest stated objective and linked to a specific capacity project. Until the facility and engine supply are ready, the A220 adds more execution risk than margin.

ENGINES, STRUCTURES AND CABINS SET THE DELIVERY CEILING

Pratt & Whitney GTF availability is the clearest constraint on A320neo and A220 ramp-ups, with resolution expected by 2028. Airbus reportedly launched a damages claim against Pratt & Whitney in March 2026, showing the disruption is commercially material, although compensation and supplier recoveries are undisclosed. CFM is in a stronger position. Safran reported 1,030 LEAP engine deliveries in H1 2026, up 41%, and said capacity could meet Airbus and Boeing demand in 2026–2027. Engines should not be treated as one uniform bottleneck: CFM-powered aircraft may ramp faster, while GTF-powered aircraft and A220s remain constrained.

Inventory is the clearest financial symptom. Airbus inventory rose from €44.184 billion at year-end 2025 to €46.9 billion at the end of Q1 2026, driven by work in progress awaiting engines and other components. H1 free cash flow before customer financing was negative €1.2 billion, explicitly because inventory was built for H2 deliveries. Cash can reverse sharply once completed aircraft transfer to customers and pre-delivery payments become final receipts. That outcome is conditional. If missing parts simply move between aircraft, inventory can keep rising even as reported production increases.

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08.1

Commercial Narrowbody Aircraft (continued)

Business division deep dive — Profit engine.

DEMAND IS ROBUST, BUT AIRLINE AFFORDABILITY IS ANOTHER CONSTRAINT

Demand is supported by a forecast 83.8% global passenger load factor in 2026 and the need to replace older aircraft. Airline profitability has weakened after a fuel shock: IATA's earlier USD 41 billion 2026 net-profit forecast was cut to USD 23 billion. This is a timing difference, not a methodological conflict, and the report uses the later USD 23 billion figure to assess customer resilience. Higher fuel prices improve the operating case for new aircraft but weaken airline balance sheets and financing capacity. Demand can therefore remain strategic while customers seek delivery deferrals.

Lease economics provide another check. A new 737 MAX 8 was estimated to lease for USD 350,000–400,000 per month in the mid-2020s. At the midpoint, annual rent is USD 4.5 million against a USD 55 million market value, implying an 8.2% gross lease yield before maintenance, financing, downtime and residual-value risk. This helps explain why lessors continue to order scarce aircraft, while also showing sensitivity to rates and residual assumptions. Scarcity supports lease values and reduces the economic incentive for customers to cancel positions, even when delivery dates move.

VALUATION NEEDS OPERATING LEVERAGE, NOT MARKET-SHARE GAINS

The base valuation does not require Airbus to lift narrowbody share above the 58–60% range. It requires existing share to support higher volume and €6.105 billion of EBITDA by 2027. From the modelled €36.0 billion FY2025 revenue base, roughly €45–48 billion of 2027 revenue and a low-to-mid-teens EBITDA margin can support that outcome. The assumptions are higher deliveries, richer A321 mix, lower disruption and no disproportionate customer compensation. This is an execution case, not a demand case.

The 12.5x multiple is below Airbus's 18.0x normalised historical EV/EBITDA average and above the 10.4x 2026 peer median. The premium recognises the duopoly, net-cash position and visible backlog. The discount to Airbus history reflects working-capital intensity, programme risk and Boeing's distorted negative earnings. A 10.5x bear multiple on €5.4 billion of EBITDA would reduce narrowbody EV to €56.7 billion. Conversely, €7.0 billion at 14x would be worth €98.0 billion. Rate, mix and margin therefore matter more than near-term order announcements.

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08.1

Commercial Narrowbody Aircraft (continued)

Business division deep dive — Profit engine.

WHAT BREAKS THE NARROWBODY VALUE

Value first breaks through timing, then economics. Delaying full-year Rate 75 to 2029 is manageable if pricing and backlog hold. A persistent ceiling near the H1 2026 A320 pace of 45.2 per month would make the €6.105 billion EBITDA assumption unattainable. A second risk is higher customer compensation or supplier inefficiency that prevents volume from lifting margin. A third is cash: continued inventory growth without higher contract liabilities would show Airbus financing unfinished aircraft rather than converting customer-funded backlog.

The competitive risk is less immediate, but remains relevant. COMAC delivered only 10 C919s in the first seven months of 2026, and EASA certification is projected for 2028–2031. It cannot yet match Airbus's global delivery and support system. However, the C919 has a reported 7% order share in the broad single-aisle framework and could become meaningful in China before becoming global. Boeing remains the near-term alternative and recorded 143 Q1 2026 deliveries, briefly leading Airbus for the first time in seven years. Airbus's advantage is strongest in backlog, product breadth and installed support, but weakest when supply constraints delay customer deliveries.

COMMERCIAL NARROWBODY AIRCRAFT FACT SHEET

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PRINCIPAL BOTTLENECK
Pratt & Whitney GTF engines

SINGLE-AISLE COMPETITIVE POSITION AND CONVERSION CONSTRAINTS

MANUFACTURER	SINGLE-AISLE SHARE	2026 DELIVERY SIGNAL	PRINCIPAL CONSTRAINT
Airbus	58% combined (Jan-26)	315 narrowbodies H1	Engines and equipment
Boeing	33% orders / ~40%	367 total through Jul	Recovery and certification
COMAC	7% orders (Jan-26)	10 C919 through Jul	Scale; EASA 2028–31
Embraer	2% broad segment	76% vs A220 niche	Smaller addressable cabin

08.2

Commercial Aviation Services

Business division deep dive — Profit engine.

SIZE OF THE PRIZE: FLEET OPERATING SPEND, NOT CURRENT AIRBUS SERVICE REVENUE

Commercial Aviation Services competes for recurring spending needed to keep aircraft available, compliant and productive. Grand View Research estimated the global aircraft MRO market at USD 100.8 billion in July 2026, while Mordor Intelligence estimated USD 100.99 billion for commercial-aircraft MRO. These near-identical figures support approximately USD 101 billion as the defined maintenance market. Oliver Wyman's broader 2026 MRO-supercycle estimate is USD 140 billion, while Maximize Market Research put commercial aviation services at USD 145.74 billion in 2025. The valuation does not apply a share to the largest market estimate. It starts with Airbus's estimated €5.45 billion revenue and assesses how much recurring spend it can capture per installed aircraft.

The spending pool extends beyond formal MRO. Airlines can use OEM spares, independent parts, internal maintenance, component repair, used serviceable material, aircraft replacement, training providers, engineering consultants and digital tools. Delivery delays can also temporarily shift spending from new aircraft to services as airlines retain older fleets. Oliver Wyman estimated delayed replacement added USD 3.1 billion to airline maintenance cost in 2025. This is not automatically Airbus revenue, but it shows the trade-off: production delays hurt aircraft cash flow while extending service demand.

Airbus's current capture is modest relative to the available pool. Aviation Week estimated commercial-aircraft services revenue at €5.45 billion in 2025, approximately 11% of reported Airbus-segment revenue and up about 10%. Dividing €5.45 billion by the approximately USD 101 billion labeled MRO market would imply a mid-single-digit global revenue share after currency conversion, but that calculation is only directional because Airbus services include training, digital and flight operations while the market estimates use varying MRO boundaries. The investment case does not require Airbus to become the largest independent maintainer. It requires Airbus to increase revenue per Airbus aircraft by owning the data, parts catalogue, engineering authority and lifecycle relationship associated with its designs.

COMMERCIAL AVIATION SERVICES FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 5,450m

MODEL ESTIMATE REPORTED EBIT
EUR 255m

MODELLED FY2025 REVENUE
€5.45bn

FY2025 GROWTH
Approximately 10%

SHARE OF AIRBUS-SEGMENT SALES
Approximately 11%

MODELLED FY2025 EBIT MARGIN
4.7%

SOTP METRIC AND MULTIPLE
€1.221bn 2027E EBITDA × 15.0x

COMMERCIAL MRO MARKET
Approximately \$101bn in 2026

BROAD MRO SUPERCYCLE
\$140bn in 2026

VALUE GATE
Recurring revenue per Airbus aircraft

08.2

Commercial Aviation Services (continued)

Business division deep dive — Profit engine.

REACHABLE SHARE BEGINS WITH THE OEM-CONTROLLED LAYER

The first step is to separate activities where Airbus has an advantage from those driven by ordinary shop economics. Airbus controls type-design knowledge, service bulletins, proprietary documentation, many approved repair paths, upgrade certification and direct operator relationships. These matter most in spares, modifications, engineering support, predictive maintenance and fleet-performance software. They matter less in labour-intensive airframe checks, where Lufthansa Technik, ST Engineering, AAR, airline shops and regional providers compete using approved procedures. Long-run margins should therefore be higher in intellectual-property and parts-led revenue than in heavy-maintenance labour.

The report models €5.45 billion of FY2025 revenue and €255 million of EBIT, a 4.7% margin. This conservative margin is an analytical allocation within the reported Airbus segment, not disclosed services profitability. It assumes some support remains bundled with aircraft programmes, ramp-up costs and customer obligations absorb contribution, and Airbus has not reached the scale economics of engine OEMs or mature independent networks. The 2027 SOTP uses €1.221 billion of EBITDA, requiring material improvement from the FY2025 allocation through both revenue growth and mix.

The bridge assumes roughly €7.0–7.5 billion of 2027 services revenue and a 16–17% EBITDA margin, producing approximately €1.22 billion of EBITDA. The revenue range implies 13–17% annualised growth from €5.45 billion over two years, driven by fleet growth, utilisation, price escalation and greater penetration. The margin is below typical engine-aftermarket economics because Airbus does not own the highest-value engine work. It is above the modelled FY2025 margin because proprietary parts, digital products and training should scale better than labour. At 15x EBITDA, the division contributes €18.314 billion of EV, or 12% of the SOTP.

INSTALLED-FLEET GROWTH IS THE VOLUME ENGINE

Every delivered Airbus aircraft expands the future service base, but the revenue opportunity develops over decades. New aircraft initially require warranties, entry-into-service support, training and provisioning. As they age, scheduled checks, component replacements, cabin upgrades, structural inspections and software changes increase. A growing fleet therefore creates a cohort effect, with recent deliveries adding younger aircraft while earlier A320-family and A330 fleets enter heavier maintenance cycles. The production ramp that consumes cash in Commercial Narrowbody Aircraft can later support recurring services revenue.

COMMERCIAL AVIATION SERVICES FACT SHEET

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4.7%

SOTP METRIC AND MULTIPLE
€1.221bn 2027E EBITDA × 15.0x

COMMERCIAL MRO MARKET
Approximately \$101bn in 2026

BROAD MRO SUPERCYCLE
\$140bn in 2026

VALUE GATE
Recurring revenue per Airbus aircraft

08.2

Commercial Aviation Services (continued)

Business division deep dive — Profit engine.

A simple framework shows the required economics. If the relevant Airbus commercial fleet is assumed at 15,000 aircraft for illustration, €5.45 billion equals approximately €363,000 of Airbus service revenue per aircraft per year. If the fleet grows 5% annually and revenue per aircraft rises 7%, total revenue grows about 12.4% before acquisitions. These are report assumptions, not disclosed fleet counts or pricing. They show that the 2027 revenue target does not require a doubling of market share: moderate fleet growth and higher wallet share can support low-teens growth.

Fleet size can overstate economic access. Operators may use non-OEM parts, perform maintenance internally, contract with engine makers or choose independent MRO providers. Older aircraft can also leave service or be parted out, reducing utilisation even as cumulative deliveries rise. The relevant KPI is not cumulative deliveries alone. It is service revenue per active aircraft, adjusted for utilisation, aircraft age and Airbus's share of each service event.

COMPETITIVE SCALE SETS A DEMANDING BENCHMARK

- Airbus Commercial Aviation Services: estimated €5.45 billion revenue in 2025, approximately 10% growth and 11% of Airbus-segment revenue.
- Boeing Global Services: USD 20.923 billion total services revenue in 2025, although a clean commercial-versus-government split was not disclosed.
- Lufthansa Technik: record €8.0 billion revenue in 2025 and described itself as the world's leading technical-aircraft-services provider.
- GE Aerospace Commercial Engines & Services: estimated USD 32.8 billion services revenue in 2025, reflecting an engine-MRO supercycle rather than directly comparable airframe economics.
- ST Engineering Commercial Aerospace: SGD 4.99 billion revenue in 2025.
- AAR: USD 3.3 billion FY2026 sales, up from USD 2.8 billion in FY2025; the figures cover sequential periods, not one year.

Boeing Global Services is the clearest scale comparator, but its USD 20.923 billion revenue includes government services and is not a pure commercial benchmark. Lufthansa Technik is cleaner for technical services, but its independent-MRO model includes third-party aircraft and engine work that Airbus may not seek to replicate. GE Aerospace shows the value of installed-base intellectual property, but engine shop visits, long-term service agreements and life-limited parts have different economics from airframe support. The comparison supports a premium multiple for recurring proprietary revenue, but not an engine-OEM margin assumption.

COMMERCIAL AVIATION SERVICES FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 5,450m

MODEL ESTIMATE REPORTED EBIT
EUR 255m

MODELLED FY2025 REVENUE
€5.45bn

FY2025 GROWTH
Approximately 10%

SHARE OF AIRBUS-SEGMENT SALES
Approximately 11%

MODELLED FY2025 EBIT MARGIN
4.7%

SOTP METRIC AND MULTIPLE
€1.221bn 2027E EBITDA × 15.0x

COMMERCIAL MRO MARKET
Approximately \$101bn in 2026

BROAD MRO SUPERCYCLE
\$140bn in 2026

VALUE GATE
Recurring revenue per Airbus aircraft

08.2

Commercial Aviation Services (continued)

Business division deep dive — Profit engine.

AAR illustrates current market growth. FY2025 sales were USD 2.8 billion and FY2026 sales reached USD 3.3 billion; the figures cover different fiscal years. Delta TechOps reported USD 826 million of 2025 revenue and was moving toward separate MRO reporting, while ST Engineering's commercial-aerospace revenue was SGD 4.99 billion. These competitors give customers credible alternatives across distribution, component repair and maintenance. Airbus must win through platform knowledge and integrated fleet outcomes, not added shop capacity alone.

REVENUE PER AIRCRAFT MATTERS MORE THAN NOMINAL MARKET SHARE

Services can grow through more Airbus aircraft in service, more billable events per aircraft, or greater Airbus content per event. Fleet growth depends on deliveries and retirements. Billable events depend on utilisation, age and regulation. Airbus content depends on product design, parts availability, pricing, digital adoption and its ability to lower total operating cost. The key KPI is active fleet, utilisation and revenue per aircraft, although Airbus does not disclose that matrix.

Pricing power is highest when an aircraft is grounded without a certified part or engineering solution. It is weakest when maintenance is standardised and several approved providers have capacity. Services therefore have a barbell: scarce proprietary parts and data can earn high contribution, while heavy checks and commoditised distribution may earn modest returns. The base valuation assumes mix shifts toward the former. If growth comes mainly from labour-heavy capacity, the 15x multiple would be too high because the business would resemble a conventional MRO network.

Digital products may be attractive, but should be valued on paid adoption rather than fleet connections. Flight-operations analytics, predictive maintenance and engineering tools can reduce downtime, fuel use and inventory. Airlines can also buy software from avionics suppliers and specialist vendors, or develop it internally, while data rights can be split among airframe, engine and component OEMs. The report includes digital products within the required 16–17% EBITDA margin but assigns no separate software multiple. A premium would require disclosed recurring digital revenue, retention and measurable customer savings.

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VALUE GATE
Recurring revenue per Airbus aircraft

08.2

Commercial Aviation Services (continued)

Business division deep dive — Profit engine.

SUPPLY -CHAIN STRESS CREATES OPPORTUNITY AND OBLIGATION

Scarcity increases demand for parts, repair and used serviceable material, but can damage the OEM relationship. If Airbus cannot supply a component, documentation or timely repair, airlines may build alternatives and resist future OEM pricing. The engine and cabin-equipment shortages limiting new-aircraft deliveries can also limit spare availability. Service revenue may rise while customer satisfaction and long-run wallet share weaken. Investors should distinguish price-led revenue from better aircraft availability.

Delayed replacement is also double-edged. The USD 3.1 billion of additional 2025 maintenance cost from delayed replacement increased maintenance and engineering demand. Airlines did not choose that spending, however; they incurred it because newer aircraft were unavailable. Airbus may capture some spend on legacy Airbus fleets, but delays also create compensation claims and encourage operators to diversify future orders. A durable service franchise should grow by reducing lifecycle cost, not because customers must operate aircraft longer than planned.

Inventory also connects services to group cash flow. Spare-parts availability and repair pools require working capital before sales. An overly lean network reduces aircraft availability, while an overly broad network traps cash in slow-moving parts. The group reported €46.9 billion of inventory at Q1 2026, but did not disclose a commercial-services breakout. The service case therefore depends on working-capital discipline as well as revenue growth.

MARGIN PROGRESSION REQUIRES A SPECIFIC MIX CHANGE

The move from a modelled 4.7% FY2025 EBIT margin to approximately 16–17% 2027 EBITDA margin is this division's most demanding assumption. Depreciation means the EBIT-margin increase would be smaller, but still substantial. The bridge relies on greater proprietary-parts contribution, scaling training and digital platforms, and less support cost from disrupted aircraft deliveries. It does not assume ordinary maintenance labour earns software margins.

The arithmetic is clear. At €7.25 billion of 2027 revenue, a 16.84% EBITDA margin produces €1.221 billion of EBITDA. If revenue reaches only €6.5 billion and margin is 13%, EBITDA is €845 million. At the same 15x multiple, EV falls to €12.68 billion, €5.64 billion below base. If revenue reaches €7.5 billion at 19%, EBITDA is €1.425 billion; at 16x, EV is €22.8 billion. The plausible range changes group value by roughly €7–13 per share, making service disclosure economically important.

COMMERCIAL AVIATION SERVICES FACT SHEET

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BROAD MRO SUPERCYCLE
\$140bn in 2026

VALUE GATE
Recurring revenue per Airbus aircraft

08.2

Commercial Aviation Services (continued)

Business division deep dive — Profit engine.

The multiple also requires discipline. Airbus trades at 18.31x 2025 EV/EBITDA, while the peer median falls to 10.4x in 2026. A 15x services multiple reflects recurring revenue, lower programme risk and better cash characteristics than aircraft assembly, but remains below pure high-margin aftermarket valuations. It is also below Airbus's 18.0x normalised historical group average. The premium requires visible recurring revenue and margin; otherwise a 12x industrial-services multiple is more defensible.

EVIDENCE THAT WOULD VALIDATE THE VALUE

The first validating signal is services growth above active-fleet growth, showing higher revenue per aircraft rather than simply more aircraft. The second is margin expansion without disproportionate growth in service inventory or receivables. The third is evidence that Airbus is winning paid upgrades, training, parts and digital products across older cohorts, not merely bundling support into new-aircraft campaigns. These KPIs are not fully disclosed, so the valuation applies a disclosure discount through the 15x multiple and conservative current-margin allocation.

The broader group outlook provides indirect support. Management targets €12–13 billion of Adjusted EBIT in 2029, a level difficult to reach solely through delivery volume if service mix does not improve. H1 2026 revenue rose 12%, led by higher commercial deliveries, which expands the future installed base. Yet H1 cash flow was negative and production remained supply constrained. Services are therefore an important route to making the group's earnings less dependent on the exact quarter in which an aircraft is delivered.

Competitor results also support demand. Lufthansa Technik's €8 billion revenue, AAR's growth to USD 3.3 billion and the approximately USD 101 billion MRO estimates all point to a growing spend pool. The issue is allocation, not demand. Airbus has design authority and fleet access, but must convert those advantages into paid products while sharing the market with engine makers, airlines and independent MROs. The base case assumes selective success, not control of the entire maintenance chain.

WHAT BREAKS THE SERVICES VALUE

The first break is stagnant revenue per active aircraft. If services grow only with the fleet, the division remains useful but does not support the growth and margin assumptions behind €18.314 billion of EV. The second is adverse mix, where revenue grows through low-margin maintenance capacity while proprietary parts and digital penetration disappoint. The third is customer pushback if aircraft and spare-part delays drive airlines toward alternatives or concessions.

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08.2

Commercial Aviation Services (continued)

Business division deep dive — Profit engine.

A fourth risk is overstating Airbus's addressable scope. The USD 101–146 billion market estimates include activities Airbus may never capture, including engines, airline labour and independent component work. The valuation avoids applying a headline share to these markets, but the growth case still requires Airbus to take more wallet share. A fifth risk is cash intensity: if services growth needs large parts inventories and repair assets, free-cash-flow quality will be lower than the recurring-revenue label suggests.

Services are a high-quality opportunity, but require stronger evidence. The €5.45 billion revenue estimate is credible because Aviation Week reports it and it reconciles within the Airbus segment. Standalone profit is not disclosed. The €1.221 billion 2027 EBITDA is this report's model, not company guidance. Investors should accept the 15x multiple only with evidence of revenue-per-aircraft growth, proprietary mix and working-capital efficiency. Without this, the division remains strategically valuable but less financially differentiated.

COMMERCIAL AVIATION SERVICES FACT SHEET

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VALUE GATE
Recurring revenue per Airbus aircraft

COMMERCIAL AVIATION SERVICES COMPETITIVE SCALE

PROVIDER	REVENUE	BUSINESS MODEL	COMPARABILITY
Airbus Services	€5.45bn est. (2025)	OEM parts, support, digital	Analytical division split
Boeing Global Services	\$20.923bn (2025)	Commercial and government	Government split unavailable
Lufthansa Technik	€8.0bn (2025)	Independent full-service MRO	Includes third-party platforms
GE Aerospace services	\$32.8bn est. (2025)	Engine aftermarket	Structurally higher IP content
ST Engineering	SGD4.99bn (2025)	Commercial aerospace MRO	Independent network
AAR	\$3.3bn (FY2026)	Parts and aviation services	Smaller independent peer

08.3

Commercial Widebody Aircraft

Business division deep dive — Profit engine.

SIZE OF THE PRIZE: AIRLINE REVENUE AND FUEL COSTS DRIVE REPLACEMENT CAPACITY

Widebodies compete for a share of the USD 1.008 trillion in global airline revenue reported by IATA for 2025, and for savings against a 2026 airline fuel bill of approximately USD 350–351 billion. Widebody-market estimates are unreliable, ranging from USD 104.25 billion to USD 279.4 billion for 2025, with another estimate at USD 117.7 billion. The difference reflects whether estimates cover deliveries, programme revenue, services or broader forecast demand. The report therefore does not use a top-down market multiple. It values modelled A330 and A350 EBITDA, using the fuel bill as the economic incentive for replacement.

The reachable Airbus share is constrained by Boeing's installed base but supported by recent orders. Aviation Week reported that Boeing's in-service widebody fleet was more than 60% larger than Airbus's in early 2026. In 2025 Boeing recorded 538 firm orders across the 787 and 777 families, compared with 293 Airbus widebody orders comprising 193 A350-family and 100 A330neo aircraft. These figures do not conflict as alternative market shares; they show Boeing led that year's order count. Airbus nevertheless has a meaningful modern product family and does not need to overturn the installed-base lead for the SOTP to work.

THE MODEL TRANSLATES DELIVERY RATES INTO A €10.016 BILLION REVENUE BASE

Widebody revenue is not separately reported. The report allocates €10.016 billion of FY2025 reported Airbus external sales to passenger A330 and A350 aircraft and associated support, after allocating €36.0 billion to narrowbodies and €5.45 billion to Commercial Aviation Services. It assigns €700 million of EBIT, a 7.0% margin, within the reported Airbus segment's €4.555 billion EBIT. The lower margin versus narrowbodies reflects lower production rates, more complex configurations and fixed costs spread over fewer units.

Q1 2026 deliveries included three A330s and 11 A350s. Airbus targets 12 A350s per month by 2028, potentially more later, and four A330s per month, with a possible increase to five in 2029. These rates imply annualised output of up to 144 A350s and 48–60 A330s, well above the Q1 pace. The SOTP does not assume full target-rate output in 2027. It uses €1.090 billion of 2027 EBITDA, requiring progressive rather than immediate improvement.

COMMERCIAL WIDEBODY AIRCRAFT FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 10,016m

MODEL ESTIMATE REPORTED EBIT
EUR 700m

MODELLED FY2025 EBIT MARGIN
7.0%

SOTP METRIC AND MULTIPLE
€1.090bn 2027E EBITDA × 14.0x

Q1 2026 DELIVERIES
3 A330; 11 A350

A350 TARGET
12/month by 2028

A330 TARGET
4/month; potential 5 in 2029

AIRBUS 2025 WIDEBODY ORDERS
293

BOEING INSTALLED-FLEET LEAD
More than 60% larger

AIRLINE FUEL BILL
Approximately \$350bn in 2026

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.3

Commercial Widebody Aircraft (continued)

Business division deep dive — Profit engine.

PRICE IS INFERRED BECAUSE LIST PRICES ARE MISLEADING

Published A350 list prices of USD 317 million for the A350-900 and USD 367 million for the A350-1000 are unsuitable revenue inputs because commercial discounts are substantial. A new Boeing 787-9 was appraised at approximately USD 151 million in mid-2025, around 48% below its old list price. The report assumes realised widebody revenue per aircraft of €140–180 million, depending on model, escalation and support content. This is consistent with €10.016 billion of revenue across a delivery mix measured in dozens rather than hundreds of aircraft.

The division's €1.090 billion 2027 EBITDA at 14x produces €15.262 billion of EV. The multiple is above the 2026 peer EV/EBITDA median of 10.4x because Airbus has a modern A350 platform, net cash and visible production growth. It remains below Airbus's 18.0x normalised historical average. A lower €850 million EBITDA at 11x would be worth €9.35 billion. A successful ramp to €1.4 billion at 15x would be worth €21.0 billion.

REPLACEMENT ECONOMICS SUPPORT DEMAND, BUT NOT DELIVERY TIMING

Modern widebodies aim to improve fuel efficiency by approximately 20–25% versus older aircraft. Even a small fleet-level saving against the USD 350 billion industry fuel bill is meaningful, although replaceable widebodies consume only part of total fuel. Delayed replacement added an estimated USD 3.1 billion to 2025 maintenance costs, strengthening the replacement case. Airlines still face a reduced 2026 profit outlook of USD 23 billion after the fuel shock, so attractive lifecycle economics can coexist with near-term financing pressure.

Regional market estimates differ. Market Intelo put Asia-Pacific at 42.3% of the 2025 widebody market, while Coherent Market Insights expected North America to lead with 42.7% in 2026. The difference may reflect timing, delivery geography and methodology. The report treats both regions as important and uses airline orders rather than a regional top-down assumption. Riyadh Air's July 2026 order for 28 Boeing 787-10s and six Airbus A350-1000s shows major customers can select both manufacturers.

COMPETITION REMAINS A TWO-PLAYER MARKET OVER THIS VALUATION HORIZON

- Airbus: 293 widebody orders in 2025; Q1 2026 deliveries were three A330s and 11 A350s.
- Boeing: 538 widebody orders in 2025 and an installed fleet more than 60% larger than Airbus's.
- COMAC: C929 remains in development with a target entry into service around 2030 and zero operational share today.
- Legacy fleets: delayed replacement added an estimated USD 3.1 billion of maintenance cost in 2025.

COMMERCIAL WIDEBODY AIRCRAFT FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 10,016m

MODEL ESTIMATE REPORTED EBIT
EUR 700m

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08.3

Commercial Widebody Aircraft (continued)

Business division deep dive — Profit engine.

The Boeing 787 is the closest competitor to the A350 and A330neo, while the 777X targets larger aircraft. The 777X entered final FAA certification in mid-2026, with first delivery targeted for 2027. Further delay would strengthen A350 campaign leverage, while successful certification would restore a stronger Boeing offer. COMAC's C929 matters after 2030, but not to the 2027 EBITDA bridge because it remains pre-service.

WHAT VALIDATES OR BREAKS THE VALUE

Validation requires A350 deliveries to improve from the 2025 downside reference of 57 aircraft and move credibly toward 12 per month by 2028, while A330 output remains near four per month. It also requires stable pricing and no material rise in disruption costs. Orders matter, but production milestones and cash receipts matter more because backlog already supports higher output.

Value breaks if international replacement is deferred, suppliers prevent the A350 rate increase, or Boeing's 787 and 777X campaigns force price concessions. A350 Freighter economics are excluded from this division and valued separately, preventing pre-revenue cargo expectations from inflating the passenger-widebody multiple. A freighter delay therefore does not mechanically invalidate the €15.262 billion passenger-widebody value, although shared A350 engineering and production disruption could still affect it.

COMMERCIAL WIDEBODY AIRCRAFT FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 10,016m

MODEL ESTIMATE REPORTED EBIT
EUR 700m

MODELLED FY2025 EBIT MARGIN
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293

BOEING INSTALLED-FLEET LEAD
More than 60% larger

AIRLINE FUEL BILL
Approximately \$350bn in 2026

WIDEBODY PROGRAMME COMPETITION AND PRODUCTION STATUS

PLATFORM GROUP	2025 ORDER SIGNAL	2026 STATUS	STRATEGIC POSITION
Airbus A330/A350	293 firm orders	14 deliveries in Q1	Modern two-family offer
Boeing 787/777	538 firm orders	Fleet >60% larger	Installed-base leader
Boeing 777X	Included with Boeing	Final FAA phase	First delivery targets 2027
COMAC C929	Development stage	0% operational share	EIS targeted around 2030

08.4

Helicopters

Business division deep dive — Profit engine.

SIZE OF THE PRIZE: REPLACEMENT, MISSION AVAILABILITY AND LIFECYCLE SPENDING

Helicopters compete for spending beyond new -aircraft procurement. Fortune Business Insights estimated the 2026 helicopter market at USD 50.02 billion, while MarkNtel estimated USD 37.49 billion. An earlier 2025 Fortune estimate of USD 34.8 billion was later replaced by USD 47.91 billion. The differences reflect varying coverage of military, civil, services and mission equipment. Broader spending includes USD 53.67 billion of 2026 military -helicopter modernisation and retrofit activity, USD 9.37 billion of new -build military procurement and part of the USD 140 billion aviation MRO supercycle. The valuation uses Airbus Helicopters' reported sales and profit, not a share of overlapping market estimates.

Civil replacement demand is more tangible than market -value estimates. Airbus Helicopters estimates that approximately 4,800 civil helicopters require replacement during 2026–2035, representing 60% of forecast demand. This implies total decade demand of about 8,000 units, calculated as 4,800 divided by 60%. The addressable annual market is therefore roughly 800 aircraft across manufacturers, before size and price differences. Airbus does not need half of every submarket, but its 51% civil and parapublic booking share provides a strong starting point.

AIRBUS LEADS IN SHARE, BUT MIX DETERMINES VALUE

Airbus reported 51% of global civil and parapublic helicopter unit bookings and 28% of military bookings in 2025. A separate estimate gave Airbus 25.1% of the overall global helicopter market across civil and military categories. These figures are not inconsistent: one measures annual bookings in selected segments, while the other estimates total market share. The SOTP uses company -reported booking shares to assess current competitiveness, while the lower total -market figure shows that military value and installed fleets remain fragmented.

Asia -Pacific data support Airbus's civil position. Airbus accounted for an estimated 55.9% of new civil -helicopter deliveries in the region during 2025, ahead of Leonardo at 19.3% and Bell at 18.2%. Sikorsky, however, is expected to account for about 40% of global military -helicopter production value during 2026–2030. Airbus is strongest in civil and parapublic units, while high -value military programmes remain more contested. Unit share can overstate value share when competitors deliver larger, more expensive military aircraft.

HELICOPTERS FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

EUR 8,619m

FY2025A REPORTED EBIT

EUR 953m

REPORTED -SEGMENT EBIT MARGIN

10.6% on €8.972bn total sales

SOTP METRIC AND MULTIPLE

€939.2m 2027E EBITDA × 13.0x

CIVIL/PARAPUBLIC BOOKING SHARE

51% in 2025

MILITARY BOOKING SHARE

28% in 2025

CIVIL REPLACEMENT POOL

4,800 aircraft through 2035

SPAIN ORDER

100 helicopters in 2025

H145 VARIABLE OPERATING COST

\$1,516/hour estimate

H160 REGULATORY EVENT

EASA emergency AD effective Jan - 2026

08.4

Helicopters (continued)

Business division deep dive — Profit engine.

REPORTED ECONOMICS PROVIDE A STRONGER ANCHOR THAN COMMERCIAL-AIRCRAFT ALLOCATIONS

Airbus Helicopters reported €8.619 billion of FY2025 external sales, €8.972 billion of total segment sales including intersegment business, and €953 million of reported EBIT. As segment profit is earned on total segment sales, the reported EBIT margin is 10.6%, calculated as €953 million divided by €8.972 billion. External sales were 11.7% of group revenue and the segment generated 15.7% of group reported EBIT. The division converts revenue into profit more effectively than Defence and Space and has clearer disclosure than the analytical commercial-aircraft divisions.

The SOTP uses €939.2 million of 2027 EBITDA at 13x, producing €12.210 billion of EV. EBITDA below FY2025 reported EBIT is deliberately conservative. The bridge normalises for programme mix, development spending and the possibility that the strong Spanish order changes timing rather than near-term earnings. The 13x multiple exceeds the 2026 peer EV/EBITDA median of 10.4x and Textron's 10.5x, reflecting Airbus's leadership and service base, but remains below Airbus's 18.0x historical average. A 10x multiple would reduce value by €2.82 billion.

UNIT ECONOMICS DIFFER SHARPLY BY MISSION

An H145's variable operating cost was estimated at USD 1,516 per flight hour, with an annual operating budget near €1.2 million for 300 hours. Simple hourly arithmetic gives USD 454,800, so fixed costs, crew, insurance, maintenance reserves and ownership expenses account for much of the higher annual budget. The H160 guide running cost is approximately USD 2,678 per hour at 300–400 annual hours, or USD 0.8–1.1 million of direct hourly cost before wider fixed costs. These costs explain why reliability, maintenance support and mission availability matter as much as purchase price.

Super-medium helicopters can reduce fuel burn by 20–30% versus legacy heavy twins on missions up to 200 nautical miles. At the 25% midpoint, an operator with a fuel-intensive offshore schedule can justify replacement without sharply increasing flight hours. Airbus captures this value through aircraft sales, upgrades and support, not the operator's full fuel saving. The case depends on lifecycle economics and service attachment, not unit deliveries alone.

HELICOPTERS FACT SHEET

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EASA emergency AD effective Jan-2026

08.4

Helicopters (continued)

Business division deep dive — Profit engine.

CURRENT ORDERS SUPPORT VOLUME, BUT REGULATION REMAINS PROGRAMME-SPECIFIC

- Airbus Helicopters: 51% civil/parapublic booking share and 28% military booking share in 2025.
- Leonardo: 19.3% of Asia-Pacific new civil deliveries in 2025.
- Bell: 18.2% of Asia-Pacific new civil deliveries in 2025.
- Sikorsky: approximately 40% of estimated military production value during 2026–2030.
- Robinson: 25.5% of global helicopter shipments but only 3.4% of billings in 2025, illustrating the difference between light-aircraft units and value.

Spain ordered 100 Airbus helicopters in 2025, including 50 H145Ms and 31 NH90s, creating a substantial multi-programme workload. In August 2026, the U.S. Army awarded Airbus a USD 115.4 million firm-fixed-price contract for 10 UH-72B Lakotas, with a USD 140.7 million total face value. Dividing the firm amount by 10 gives USD 11.54 million per helicopter before differences between contract and face value. This is a programme reference, not a universal H145 price.

The H160 was subject to an EASA Emergency Airworthiness Directive effective 12 January 2026, requiring replacement of main-rotor pitch-rod end bearings. This is a specific continuing-airworthiness action, not a withdrawal of type approval. Compliance creates near-term cost and operational work, while testing Airbus's support response. The aircraft remains approved and operational under mandatory corrective action in Europe. The evidence does not provide equivalent jurisdiction-by-jurisdiction directives elsewhere.

Tiger MkIII development reached activation of the 'Helicopter Zero' ground test bed in late 2025, with flight testing scheduled for 2026. Execution matters because military upgrades can extend installed-platform revenue without requiring new fleets. Conversely, the British Army plans to retire 34 Wildcat AH1 helicopters from 2027 in favour of autonomous systems. This shows that unmanned alternatives can reduce the manned-rotorcraft market in selected missions.

WHAT THE VALUATION REQUIRES

The base case requires Airbus to retain leadership in civil and parapublic bookings, convert Spain's order into deliveries without margin leakage and maintain military share near the reported 28%. It also assumes replacement demand offsets pressure from autonomous systems in some reconnaissance and logistics missions. The 4,800-unit civil replacement pool provides sufficient demand for growth without increasing Airbus's 51% booking share, although annual ordering will be uneven.

HELICOPTERS FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

EUR 8,619m

FY2025A REPORTED EBIT

EUR 953m

REPORTED-SEGMENT EBIT MARGIN

10.6% on €8.972bn total sales

SOTP METRIC AND MULTIPLE

€939.2m 2027E EBITDA × 13.0x

CIVIL/PARAPUBLIC BOOKING SHARE

51% in 2025

MILITARY BOOKING SHARE

28% in 2025

CIVIL REPLACEMENT POOL

4,800 aircraft through 2035

SPAIN ORDER

100 helicopters in 2025

H145 VARIABLE OPERATING COST

\$1,516/hour estimate

H160 REGULATORY EVENT

EASA emergency AD effective Jan-2026

08.4

Helicopters (continued)

Business division deep dive — Profit engine.

Service mix stabilises margins. Helicopters operate in offshore, emergency-medical, police and military settings where availability is valuable and maintenance is recurring. The division sells spares, upgrades, training and support alongside aircraft, but does not disclose standalone service revenue. The 13x multiple therefore values the integrated segment rather than assigning an unverified aftermarket premium to a separate stream.

WHAT BREAKS THE HELICOPTER VALUE

The first break is adverse mix. A high civil booking share can coexist with weak profit if demand shifts toward smaller helicopters while heavy military programmes are delayed. Robinson's 25.5% shipment share but only 3.4% of billings shows why unit share does not translate directly into value. The second risk is execution on NH90, Tiger upgrades or other fixed-price commitments. The third is a broader shift toward unmanned systems beyond the British Wildcat example.

A safety or reliability issue would be more serious if it extended beyond the H160 bearing directive into fleet groundings or customer deferrals. A demand break would appear in falling bookings against the 4,800-unit replacement pool, particularly in offshore and parapublic categories. The valuation can absorb annual volatility because the segment already earns a 10.6% reported margin. It cannot absorb sustained erosion in value share, service attachment or mission availability.

HELICOPTERS FACT SHEET

PROFIT ENGINE
FY2025A REVENUE EUR 8,619m
FY2025A REPORTED EBIT EUR 953m
REPORTED-SEGMENT EBIT MARGIN 10.6% on €8.972bn total sales
SOTP METRIC AND MULTIPLE €939.2m 2027E EBITDA × 13.0x
CIVIL/PARAPUBLIC BOOKING SHARE 51% in 2025
MILITARY BOOKING SHARE 28% in 2025
CIVIL REPLACEMENT POOL 4,800 aircraft through 2035
SPAIN ORDER 100 helicopters in 2025
H145 VARIABLE OPERATING COST \$1,516/hour estimate
H160 REGULATORY EVENT EASA emergency AD effective Jan-2026

HELICOPTER MARKET POSITION BY SEGMENT AND MEASUREMENT BASIS			
MANUFACTURER	MARKET INDICATOR	PERIOD	INTERPRETATION
Airbus	51% civil bookings	2025	Global civil/parapublic leader
Airbus	28% military bookings	2025	Strong but not dominant
Leonardo	19.3% APAC civil	2025	Second in regional deliveries
Bell	18.2% APAC civil	2025	Third in regional deliveries
Sikorsky	~40% military value	2026-30	Heavy military leader
Robinson	25.5% units; 3.4% billings	2025	Light-unit share overstates value

08.5

Space Systems and Intelligence

Business division deep dive — Turnaround profit engine.

SIZE OF THE PRIZE AND ATTAINABLE POSITION

Space Systems and Intelligence operates in a satellite-manufacturing market estimated at USD 26.51 billion in 2025, compared with Grand View Research's USD 22.5 billion 2024 base. The periods and scopes differ, indicating a USD 20–30 billion manufacturing market rather than a precise share denominator. Earth observation could contribute USD 3.8 trillion to global GDP by 2030, but Airbus captures only satellite, data, communications and intelligence revenue, not this enabled output. The SOTP therefore uses programme EBITDA rather than a share of the trillion-dollar headline.

Airbus Space Systems reportedly generated €2.95 billion of 2025 revenue, up approximately 16%, and returned to profitability. The report allocates €2.935 billion of external revenue and a €61 million EBIT loss to reconcile the Defence and Space analytical split to €13.335 billion of verified external sales and €639 million of reported EBIT. The small difference from the €2.95 billion source figure reflects reconciliation, while the profit allocation remains conservative. Boeing, Lockheed Martin and Northrop Grumman run much larger mixed space and strategic-defence businesses. Thales Alenia Space reported €2.36 billion of 2025 revenue and is the closest European scale comparator.

TURNAROUND ECONOMICS DEPEND ON ENDING PROGRAMME CHARGES

The historical damage is clear. Airbus recorded €989 million of space-programme charges in the first nine months of 2024, following approximately €600 million of OneSat-related charges in 2023. OneSat had 10 satellites under contract by November 2025, including OmanSat-1, so it must be delivered under re-baselined economics rather than treated as abandoned. Management said in July 2026 that the Space recovery was ahead of internal forecasts. Q1 2026 Defence and Space Adjusted EBIT was €130 million on €2.8 billion of revenue, a 4.6% margin, although this includes military activities.

The SOTP uses €1.017 billion of 2029 EBITDA at 12x, producing €12.210 billion of EV. The later forecast year allows time for restructuring and delivery milestones to take effect. The assumption requires growth from approximately €2.94 billion of revenue, restored programme margins, secure-communications growth and no repeat of billion-euro charge cycles. At €650 million of EBITDA and 9x, value would be €5.85 billion. At €1.2 billion and 14x, it would be €16.8 billion before discounting differences.

SPACE SYSTEMS AND INTELLIGENCE FACT SHEET

TURNAROUND PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 2,935m

MODEL ESTIMATE REPORTED EBIT
EUR -61m

MODELLED FY2025 REVENUE
€2.935bn

REPORTED SPACE SYSTEMS GROWTH
Approximately 16% in 2025

MODELLED FY2025 EBIT
€61m loss

SOTP METRIC AND MULTIPLE
€1.017bn 2029E EBITDA × 12.0x

ONESAT CONTRACTS
10 by November 2025

2024 PROGRAMME CHARGES
€989m in first nine months

WORKFORCE ADAPTATION
2,043 positions

Q1 2026 D&S MARGIN
Approx. 4.6% Adjusted EBIT

08.5

Space Systems and Intelligence (continued)

Business division deep dive — Turnaround profit engine.

COMPETITIVE SCALE AND RESTRUCTURING

Lockheed Martin Space generated USD 13.03 billion of 2025 revenue and Northrop Grumman Space Systems USD 10.77 billion, although both include strategic-defence programmes outside Airbus's modelled pool. Thales Alenia Space's €2.36 billion is more comparable with Airbus's manufacturing scale. Maxar held an estimated 35% of high-resolution commercial Earth-observation intelligence, showing that downstream data leadership differs from satellite-prime scale. Airbus's reported 3% atmospheric-satellite share also shows the fragmentation of specialised niches.

Airbus removed 2,043 positions in a Defence and Space reorganisation effective July 2025 and recognised €105 million of restructuring charges in FY2025. The aim is clearer accountability and lower cost, but restructuring does not repair contracts on its own. Validation requires OneSat milestones, Skynet 6A launch progress, secure-communications orders and rising clean margins without new provisions. Ariane 6's targeted eight-launch cadence for 2026 can support Europe's space ecosystem, although launch economics differ from Airbus satellite economics.

WHAT BREAKS THE VALUE

Value breaks if fixed-price satellite contracts remain underbid, delayed OneSat deliveries trigger further charges, or restructuring removes capacity without improving execution. The evidence does not disclose delivery dates, remaining cost-to-complete or a standalone Space margin target. As a result, €1.017 billion of 2029 EBITDA carries greater estimation risk than aircraft divisions. A clean two-year record of profitable milestones would support the 12x multiple; another material provision cycle would require lower EBITDA and a lower multiple.

SPACE SYSTEMS AND INTELLIGENCE FACT SHEET

TURNAROUND PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 2,935m

MODEL ESTIMATE REPORTED EBIT
EUR -61m

MODELLED FY2025 REVENUE
€2.935bn

REPORTED SPACE SYSTEMS GROWTH
Approximately 16% in 2025

MODELLED FY2025 EBIT
€61m loss

SOTP METRIC AND MULTIPLE
€1.017bn 2029E EBITDA × 12.0x

ONESAT CONTRACTS
10 by November 2025

2024 PROGRAMME CHARGES
€989m in first nine months

WORKFORCE ADAPTATION
2,043 positions

Q1 2026 D&S MARGIN
Approx. 4.6% Adjusted EBIT

SPACE SYSTEMS AND INTELLIGENCE COMPETITIVE SCALE			
COMPANY	REVENUE OR SHARE	PERIOD	SCOPE CAVEAT
Airbus Space Systems	€2.95bn	2025	Returned to profitability
Lockheed Martin Space	\$13.03bn	2025	Includes strategic defence
Northrop Grumman Space	\$10.77bn	2025	End-to-end missions
Thales Alenia Space	€2.36bn	2025	Closest European comparator
Maxar EO intelligence	35% share est.	2025	Downstream EO niche

08.6

Military Air Systems

Business division deep dive — Profit engine.

SIZE OF THE PRIZE: DEFENCE BUDGETS ARE LARGE, BUT AIRCRAFT COMPETE FOR A NARROW SHARE

Military Air Systems competes within global military expenditure of USD 2.887 trillion in 2025, reported by SIPRI in April 2026. The military -aircraft market is much smaller: Straits Research estimates USD 60.68 billion for 2025, while Fortune Business Insights estimates USD 63.63 billion. The close range supports approximately USD 62 billion as the product-market reference. The USD 2.887 trillion budget pool explains why policy priorities determine demand. Airbus must compete with personnel, missiles, naval systems, cyber capabilities, space assets and munitions.

European spending is the relevant policy pool. Germany's 2026 defence framework totals €108.2 billion, including an €82.7 billion core budget and €25.5 billion from the special fund. France's updated 2024–2030 Military Programming Law totals €436 billion, while Spain spent approximately €33.9 billion in 2025 after reaching the 2% NATO threshold. Mordor Intelligence estimates the European military - aircraft market at USD 18.74 billion in 2026 and European aircraft MRO spending at USD 32.87 billion. The valuation requires these budgets to become funded Airbus orders, not remain policy commitments.

AIRBUS'S ATTAINABLE SHARE IS PROGRAMME- SPECIFIC, NOT GLOBAL

Lockheed Martin leads global military aircraft through the F- 35, while Lockheed Martin, AVIC and Boeing were estimated to hold 55% of the market in 2025. North America accounts for either 38.7% or 40.5% of market value, depending on source. This does not change the conclusion that Airbus is not the global leader. AVIC holds an estimated 43.12% of the Asia-Pacific military -aircraft market, and China represents roughly 20% of the global market in another estimate. Airbus's opportunity lies in European airlift, tankers, Eurofighter, mission aircraft, drones, upgrades and sovereign support.

Aviation A2Z estimated Airbus's Air Power business at €12.1 billion of 2025 revenue, above the analytical €10.4 billion allocation used here. The difference may reflect activities classified differently from this report's Military Air Systems division. The SOTP preserves the audited Defence and Space boundary: €10.4 billion is allocated to military air and €2.935 billion to Space Systems and Intelligence, reconciling exactly to €13.335 billion of reported external sales. This is the report's allocation, not company reporting, and avoids importing a third-party estimate that may overlap space, systems or internal sales.

MILITARY AIR SYSTEMS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 10,400m

MODEL ESTIMATE REPORTED EBIT
EUR 700m

MODELLED FY2025 REVENUE
€10.40bn

MODELLED FY2025 EBIT MARGIN
6.7%

SOTP METRIC AND MULTIPLE
€890.3m 2027E EBITDA × 12.0x

H1 2026 D&S ORDERS
€9.3bn

GLOBAL MILITARY SPENDING
\$2.887tn in 2025

MILITARY -AIRCRAFT MARKET
\$60.68–63.63bn in 2025

ITALY A330 MRTT AWARD
Approx. €1.4bn

FCAS NGF STATUS
Reported cancelled in June 2026

08.6

Military Air Systems (continued)

Business division deep dive — Profit engine.

ORDERS SHOW CONVERSION IS BEGINNING

Airbus Defence and Space recorded €9.3 billion of H1 2026 orders, up from €5.1 billion in H1 2025, largely driven by Air Power. Italy's planned acquisition of six A330 MRTT tankers and ten years of logistics support was valued at approximately €1.4 billion. Dividing this package by six gives €233 million per aircraft-equivalent, but the figure includes a decade of support and is not an airframe price. The decision is strategically important because Airbus displaced Boeing's KC-46 after Italy suspended its previous acquisition approach.

Spain's procurement policy creates both opportunity and constraint. Its April 2025 plan directed 87% of €10.47 billion of new funding to domestic companies, supporting strategic autonomy but requiring Airbus to localise work and share economics across national industrial bases. Multinational programmes can create scale, but workshare negotiations can raise cost and delay decisions. The base case credits funded tanker, transport, Eurofighter and support activity, not every announced national budget.

COMBAT - AIR UNCERTAINTY LIMITS THE MULTIPLE

- Lockheed Martin: global military - aircraft leader; F-35 committed to 20 countries as of early 2026.
- Airbus/Eurofighter: Eurofighter had 10 customer countries in the cited comparison, with Airbus participating through a multinational industrial structure.
- AVIC: estimated 43.12% of the Asia-Pacific military - aircraft market in 2025.
- Boeing: one of the top three global military - aircraft companies, but Airbus displaced the KC-46 in Italy's approximately €1.4 billion tanker decision.
- Saab: a smaller European combat-air and sensor competitor, valued at 32.4x 2026E EV/EBIT in the supplied peer pack.

The reported cancellation of the FCAS New Generation Fighter component in June 2026 is the largest strategic setback in the evidence. It removes or delays a potential long-duration development and production programme after disagreements between France and Germany. The evidence provides no funded replacement economics for proposed alternatives, so the valuation assigns no explicit FCAS option value. Existing Eurofighter, tanker, airlift and mission-system work must support the 2027 earnings bridge.

The F-35's 20-country customer base versus Eurofighter's 10 shows the scale challenge. European strategic-autonomy policy can protect Airbus's role in national and collaborative programmes, but customers also prioritise capability, interoperability and delivery speed. Higher budgets do not automatically create Airbus share. The key measure is funded order intake and backlog quality, not NATO spending percentages.

MILITARY AIR SYSTEMS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 10,400m

MODEL ESTIMATE REPORTED EBIT
EUR 700m

MODELLED FY2025 REVENUE
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€890.3m 2027E EBITDA × 12.0x

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ITALY A330 MRTT AWARD
Approx. €1.4bn

FCAS NGF STATUS
Reported cancelled in June 2026

08.6

Military Air Systems (continued)

Business division deep dive — Profit engine.

REVENUE AND MARGIN ASSUMPTIONS REMAIN RESTRAINED

The report models €10.4 billion of FY2025 Military Air Systems revenue and €700 million of EBIT, a 6.7% margin. This sits within Defence and Space's €13.405 billion of total segment sales and €639 million of reported EBIT, with Space modelled at a €61 million loss. The allocation implies military air was sufficiently profitable to offset residual space weakness. It is plausible given the Space Systems evidence, but remains an estimate because Airbus does not disclose the split.

For 2027, the SOTP uses €890.3 million of EBITDA at 12x, producing €10.683 billion of EV. The multiple is close to Lockheed Martin's 12.2x 2026E EV/EBIT and above Textron's 10.5x EV/EBITDA, but well below Saab's defence-growth multiples. This reflects European budget growth and order momentum, while discounting political workshare, fixed-price risk and the loss of FCAS NGF. The value does not require a Saab-like rerating.

If EBITDA reaches €1.1 billion and the business earns 14x, value would be €15.4 billion. If funded orders disappoint and EBITDA remains €650 million at 9x, value falls to €5.85 billion. The range shows that budget conversion and programme margin matter equally. A large order booked at poor fixed-price economics can increase backlog while reducing value.

EURODRONE SHOWS THE GAP BETWEEN POLICY AND EXECUTION

Eurodrone remains funded but was not airborne as of August 2026, with first flight delayed to 2027. One report cited a €7.1 billion programme and said France was redirecting funds to lighter indigenous drones such as Aarok. The evidence does not establish a full French withdrawal from contractual obligations. The report therefore treats Eurodrone as delayed and politically pressured, rather than cancelled, and assigns no separate premium to the programme.

The drone issue extends beyond a single contract. Autonomous systems can increase military-air spending, but may also displace crewed aircraft or favour lower-cost entrants. Airbus can participate through mission systems, integration and unmanned platforms, but its strength in large complex aircraft does not ensure leadership in attritable drones. The valuation therefore relies on existing programmes and funded support, not speculative next-generation platforms.

WHAT VALIDATES THE VALUE

Validation begins with order conversion. H1 2026's €9.3 billion Defence and Space intake should become rising Air Power backlog, advances and milestone revenue without higher loss provisions. Italy's tanker decision should progress from political announcement to contracted production and support milestones. Germany, France and Spain must allocate identifiable funding to Airbus programmes rather than leaving air-system spending within broad defence budgets.

MILITARY AIR SYSTEMS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 10,400m

MODEL ESTIMATE REPORTED EBIT
EUR 700m

MODELLED FY2025 REVENUE
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MODELLED FY2025 EBIT MARGIN
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\$2.887tn in 2025

MILITARY-AIRCRAFT MARKET
\$60.68–63.63bn in 2025

ITALY A330 MRTT AWARD
Approx. €1.4bn

FCAS NGF STATUS
Reported cancelled in June 2026

08.6

Military Air Systems (continued)

Business division deep dive — Profit engine.

Margin quality is the second test. The division must sustain a mid-to-high-single-digit EBIT margin while controlling development and bid costs. Defence and Space recognised a €105 million restructuring provision in 2025 and reorganised around stronger accountability. If this improves programme ownership, military-air profit should depend less on offsetting space charges. If not, segment volatility will continue to obscure underlying returns.

WHAT BREAKS THE MILITARY-AIR VALUE

The main risk is that European budgets do not convert. Governments can raise defence spending while prioritising ammunition, ground systems, air defence or imported aircraft. The second risk is further fragmentation after FCAS, leaving national programmes below efficient scale. The third is fixed-price execution: inflation, specification changes and delays can erase the value of a large backlog.

A structural break would be a sustained loss of European combat-air relevance to the F-35 and future U.S. or national platforms. A manageable setback would be a one-year tanker or Eurodrone delay with contractual funding intact. The distinction appears in customer commitments, funded milestones and cash advances. The €10.683 billion SOTP contribution rests on existing profitable air programmes and current order momentum, not on every European policy ambition becoming Airbus revenue.

MILITARY AIR SYSTEMS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 10,400m

MODEL ESTIMATE REPORTED EBIT
EUR 700m

MODELLED FY2025 REVENUE
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MODELLED FY2025 EBIT MARGIN
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SOTP METRIC AND MULTIPLE
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\$2.887tn in 2025

MILITARY-AIRCRAFT MARKET
\$60.68–63.63bn in 2025

ITALY A330 MRTT AWARD
Approx. €1.4bn

FCAS NGF STATUS
Reported cancelled in June 2026

MILITARY-AIR COMPETITIVE POSITION AND FUNDED DEMAND SIGNALS

COMPANY/PROGRAMME	MARKET OR CUSTOMER SIGNAL	PERIOD	IMPLICATION
Airbus Air Power	€9.3bn D&S orders H1	2026	Order acceleration
Lockheed F-35	20 customer countries	Jan-2026	Combat-air scale leader
Eurofighter	10 customer countries	Jan-2026	Smaller multinational base
AVIC	43.12% APAC share est.	2025	Regional volume leader
Boeing KC-46	Lost Italy decision	2026	Airbus MRTT campaign win

08.7

A350 Freighter

Business division deep dive — Emerging option.

SIZE OF THE PRIZE: CARGO - AIRLINE ACTIVITY, NOT AIRCRAFT ORDERS

The A350 Freighter competes for air-cargo transport spending within the global airline industry's USD 1.008 trillion of 2025 revenue. The evidence does not provide a clean global cargo-revenue total. The report therefore assumes cargo represents 8% of airline revenue, or USD 80.64 billion, and converts this at an analytical EUR/USD factor of 0.93 to approximately €75 billion. This is the operating-spend pool used for the option valuation, not a reported market forecast. The A350F captures aircraft and support economics, not freight revenue earned by operators.

The freighter market is concentrated. Boeing states its aircraft provide more than 90% of global freighter capacity. A separate estimate gives Boeing roughly 70% of the active dedicated-freighter fleet and 90% among U.S. freight carriers. Airbus must therefore take replacement share from an entrenched incumbent, rather than create an uncontested market. Medium widebodies represent an estimated 41.21% of the freighter market, while the A350F competes mainly in large, long-range aircraft.

ORDERS SHOW DEMAND, BUT NOT CERTIFIED ECONOMICS

Airbus had 107 firm A350F orders by August 2026. Boeing's 777-8F backlog exceeded 80 aircraft. Airbus's share of new-generation large-freighter orders was cited at 54% in February 2026 and 58% in late 2025. The figures differ because order books and measurement dates changed. The report uses 54% as the current conservative measure and 58% as an earlier launch-period figure. The position is meaningful because Atlas Air, the largest widebody-freighter operator, ordered 20 A350Fs.

Demand remains sensitive to timing. Air Lease cancelled seven aircraft in July 2025, while Air France-KLM reduced its order from eight to six. These changes show that firm orders can move when entry-into-service expectations shift. The probability-weighted valuation therefore does not treat 107 orders as guaranteed deliveries at the original schedule. It allows a 20% failure outcome before assigning future operating value.

REGULATORY AND TECHNICAL STATE

The A350F certification basis is EASA CS-25 Amendment 27, which is more stringent than the Amendment 13 basis used for the A350-1000. Airbus seeks simultaneous EASA and FAA type certification in Q2 2027. The planned flight-test campaign is approximately 400-410 hours using MSN700 and MSN701, while ground-vibration testing was completed over three days in June 2026. The aircraft is not type certified in Europe or the United States.

A350 FREIGHTER FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

REPORTED EBIT

Not separately reported

FIRM ORDERS

107 by August 2026

NEW-GENERATION ORDER SHARE

54-58% depending on date

MAIDEN-FLIGHT TARGET

24 September 2026

CERTIFICATION TARGET

EASA and FAA in Q2 2027

OFFICIAL FIRST DELIVERY

H2 2027

TEST CAMPAIGN

Approximately 400-410 hours

BASE SCALE ECONOMICS

€6.0bn revenue; 13.3% EBITDA

REGULATORY BASIS

EASA CS-25 Amendment 27

08.7

A350 Freighter (continued)

Business division deep dive — Emerging option.

The next milestone is maiden flight, tentatively scheduled for 24 September 2026. Airbus maintains first customer delivery in H2 2027, while industry analysis suggests entry into service could slip to 2028. The report uses H2 2027 as the official plan and 2028 as the downside timing. The main known technical issue is the large main-deck cargo door produced in Illescas, Spain. Delay to that component would affect both first flight and certification-test sequencing.

AT-SCALE ECONOMICS AND OPTION ARITHMETIC

The base success case assumes the programme captures 8% of the derived €75 billion cargo-airline revenue pool through annual aircraft and support revenue at maturity, equal to €6.0 billion. At a 13.33% EBITDA margin, this produces €800 million of EBITDA. A 12x multiple gives €9.6 billion of future EV; a 45% success probability contributes €4.32 billion before discounting. The bull case assumes a 12% share of the same pool, or €9.0 billion of revenue, and a 15.03% margin, producing €1.353 billion of EBITDA.

Bull EBITDA at 12x produces €16.237 billion of future EV, and a 35% probability contributes €5.683 billion before discounting. The two cases total approximately €10.003 billion of probability-weighted 2030 value. Discounted four years at the model's 7% cost of capital, present value is approximately €7.63 billion. The remaining 20% probability is a zero-value outcome caused by failure to secure timely EASA and FAA certification, unacceptable weight or payload economics, or cost escalation that prevents positive mature EBITDA.

These revenue shares are analytical and tied to the displaced market for option valuation. They do not mean Airbus receives 8–12% of cargo-airline ticket revenue. Instead, they constrain aircraft-and-support revenue to the economic activity served. If the assumed 8% cargo share of airline revenue is too high by one-quarter, both success-case EBITDA values fall by one-quarter unless a higher programme take rate offsets the reduction.

COMPETITIVE AND PHYSICAL PROPOSITION

- Airbus A350F: 107 firm orders by August 2026 and approximately 54% of new-generation large-freighter orders in the cited current comparison.
- Boeing 777-8F: more than 80 firm orders and backed by Boeing's dominant existing freighter ecosystem.
- Boeing active fleet: approximately 70% of dedicated freighters and more than 90% of global freighter capacity across production and converted aircraft.
- Atlas Air: ordered 20 A350Fs and represents approximately 13% in the cited operator measure.

A350 FREIGHTER FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

REPORTED EBIT

Not separately reported

FIRM ORDERS

107 by August 2026

NEW-GENERATION ORDER SHARE

54–58% depending on date

MAIDEN-FLIGHT TARGET

24 September 2026

CERTIFICATION TARGET

EASA and FAA in Q2 2027

OFFICIAL FIRST DELIVERY

H2 2027

TEST CAMPAIGN

Approximately 400–410 hours

BASE SCALE ECONOMICS

€6.0bn revenue; 13.3% EBITDA

REGULATORY BASIS

EASA CS-25 Amendment 27

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.7

A350 Freighter (continued)

Business division deep dive — Emerging option.

The A350F uses more than 70% advanced materials by weight and is reported to have a 30-tonne lower takeoff weight than its closest competitor. These claims support fuel and payload economics, but certification must confirm weight, range and structural performance. Cargo operators value floor strength, door reliability, loading efficiency, payload-range capability and maintenance availability. Any operational restriction would quickly reduce campaign value.

WHAT VALIDATES AND BREAKS THE OPTION

Validation is sequential: maiden flight in September 2026, completion of the approximately 410-hour test campaign, simultaneous EASA and FAA certification in Q2 2027, and first customer delivery in H2 2027. Each completed milestone should reduce the 20% failure probability and bring expected value forward. A delay to 2028 is not necessarily a failure if orders and economics remain intact, but it reduces present value and raises cancellation risk.

The option fails if the cargo door or structural changes materially delay testing, certified payload-range performance misses commitments, or production economics prevent a mid-teens EBITDA margin. Boeing's installed fleet and support network remain a major switching barrier even if Airbus leads new-generation orders. The €7.631 billion value is therefore probability weighted, not treated as a current operating profit engine, and the division has no current revenue.

A350 FREIGHTER FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

REPORTED EBIT

Not separately reported

FIRM ORDERS

107 by August 2026

NEW-GENERATION ORDER SHARE

54–58% depending on date

MAIDEN-FLIGHT TARGET

24 September 2026

CERTIFICATION TARGET

EASA and FAA in Q2 2027

OFFICIAL FIRST DELIVERY

H2 2027

TEST CAMPAIGN

Approximately 400–410 hours

BASE SCALE ECONOMICS

€6.0bn revenue; 13.3% EBITDA

REGULATORY BASIS

EASA CS-25 Amendment 27

LARGE-FREIGHTER COMPETITIVE AND CERTIFICATION POSITION

PLATFORM	ORDER/FLEET POSITION	CERTIFICATION STATUS	NEXT GATE
Airbus A350F	107 orders (Aug-26)	EASA/FAA pending	First flight Sep-26
Boeing 777-8F	>80 orders (Aug-26)	Development programme	Entry into service
Boeing freighter family	>90% capacity	Multiple certified types	Fleet replacement
Atlas Air	20 A350F order	Customer/operator	Airbus delivery readiness

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Narrowbody and widebody ramps consume engines, structures, labour and working capital before delivery. Once delivered, those aircraft expand the services installed base, shifting value over time from manufacturing volatility to recurring revenue.

Commercial cash generation funds defence restructuring, space-programme completion and A350F certification. Programme charges or inventory overruns can therefore limit the group's ability to realise value elsewhere, even when the affected division is small.

Shared A350 engineering and production create both leverage and risk. Passenger-aircraft learning helps the freighter, but cargo-door or certification disruption can divert engineering resources from other work.

BRIDGE MECHANICS

The SOTP values each operating division using its own forecast EBITDA and multiple. The A350F is probability weighted and discounted. Net cash and other claims are added only once in the group bridge.

At €193.62, Airbus has €152.666 billion of equity value and €149.068 billion of EV. The market-implied DCF reaches that value with EBIT margin rising from 6.8% in 2025 to 11.8% in the terminal period.

The current 2025 valuation is 18.31x EV/EBITDA and 33.66x earnings, above 2026 peer medians of 10.4x and 13.6x. Near-term multiples are high because forecast cash flow and profit have yet to catch up with the delivery ramp.

Airbus's normalised historical averages are 18.0x EV/EBITDA and 25.69x earnings. The market therefore values the group near its historical EBITDA norm, but at a premium earnings multiple.

The €197.9 target is only modestly above the current price. The key downside risks are narrowbody rates and cash conversion, not small changes in helicopter or defence orders.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The bear case assumes 2027-equivalent revenue of €84.0 billion and EBITDA of €10.08 billion, a 12.0% margin. Narrowbody output remains constrained, service margin improvement is limited, space execution deteriorates and the A350F option is valued at zero.

The base case uses €93.7 billion of 2027 revenue and €13.222 billion of EBITDA, a 14.1% margin. Production improves without assuming a full-year A320 rate of 75, services gain wallet share, and space avoids another major provision cycle.

The bull case assumes €102.0 billion of revenue and €15.81 billion of EBITDA, a 15.5% margin. Engines and cabin equipment support higher deliveries, A321 and A350 mix improves, working capital reverses, and A350F reaches the high-success leg.

Scenario net cash changes with operating conditions. The bear case absorbs more inventory and receives fewer final delivery payments, while the bull case converts work in progress and customer advances into higher cash.

BOTTOM LINE

Airbus owns scarce franchises with clear demand, but the share price already assumes an industrial conversion not yet consistently visible in cash flow. The €197.9 SOTP supports HOLD. Retain exposure to production and services upside, but wait for evidence of inventory release and margin delivery before paying a materially higher price.

FINANCIAL BRIDGE · PART 1

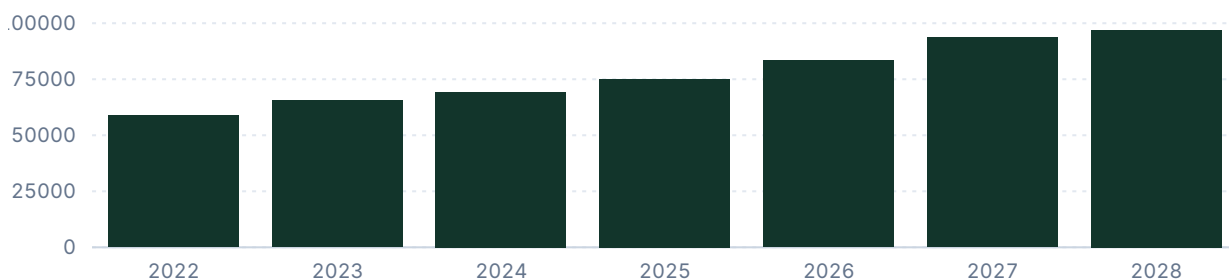
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

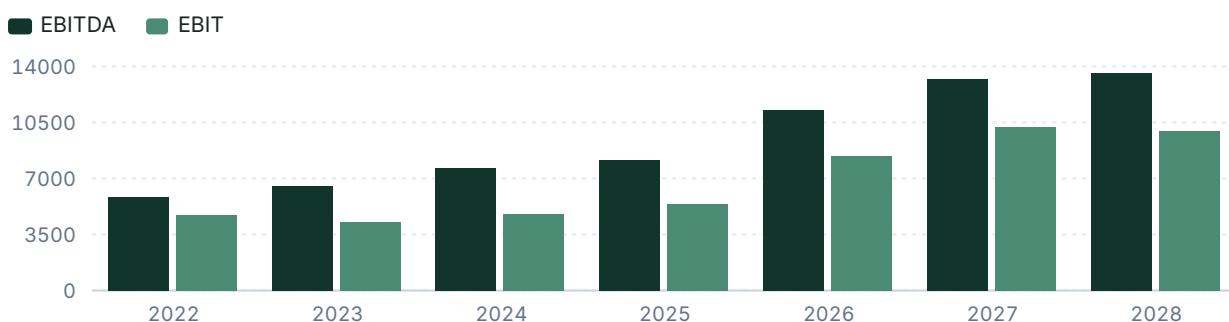
Net sales

EUR millions



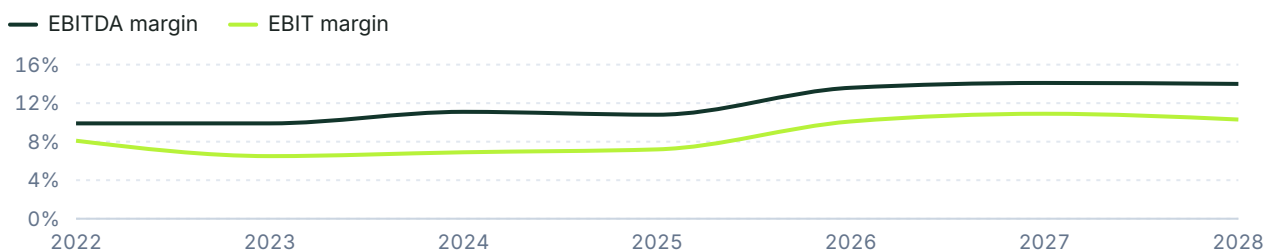
EBITDA & EBIT

EUR millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

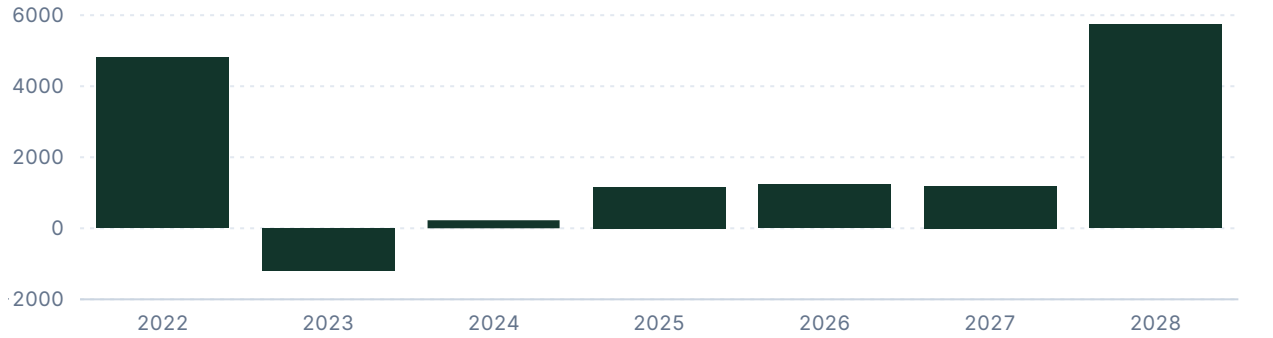
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

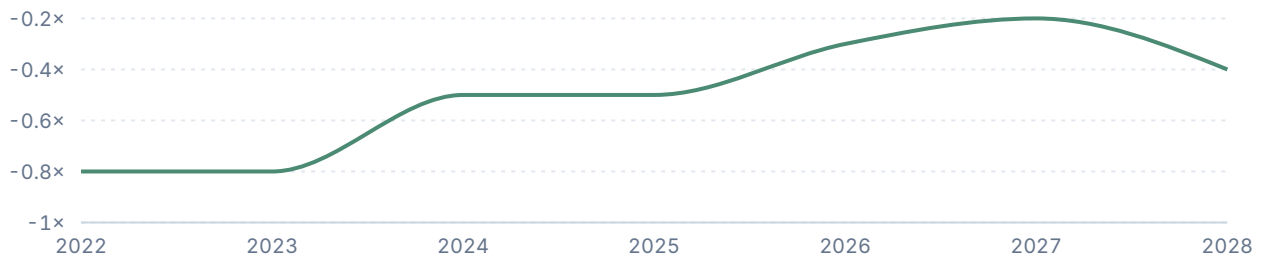
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2024	2025	2026	2027	2028
Net Sales	69,230	75,143	83,323	93,700	97,077
EBITDA	7,657	8,141	11,302	13,222	13,593
Comparable EBIT	4,804	5,415	8,398	10,195	9,965
Net Earnings	4,078	4,538	6,611	8,212	8,061
EPS (EUR)	5.2	5.8	8.4	10.4	10.2
DPS (EUR)	1.8	2.1	3.1	3.8	3.7

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

SOTP is primary because narrowbody manufacturing, recurring services, helicopters, defence, space turnaround and pre-revenue freighter optionality have different risk and cash profiles. Profit engines use modelled EBITDA and multiples bracketed by the 10.4x 2026 peer median and Airbus's 18.0x normalised history; A350F uses probability-weighted 2030 EBITDA.

The bridge gives 100% weight to SOTP. The target's modest premium to market means sensitivity is dominated by narrowbody EBITDA and multiple, not by forcing a premium group multiple.

What the market is pricing.

The €193.62 price represents €149.068bn of EV. The six profit-engine values total €144.987bn, leaving approximately €4.081bn for A350F. Against the option's €7.631bn base value, the market prices about 53% of this report's success-weighted economics, equivalent to reducing the combined 80% success probability to roughly 43% if scale and margins are unchanged.

The market assumes A350F deserves only about €4.1bn after valuing the profit engines. We assign a different reading: The order book and current test milestones support €7.6bn of probability-weighted value, although certification remains pending. (Airbus, 3 August 2026; Reuters, 18 August 2026; Air Data News, 30 July 2026)

The market assumes Production recovery can be valued without a substantial cash discount. We assign a different reading: Inventory and H1 cash absorption justify keeping manufacturing multiples below Airbus's historical norm. (Airbus H1 results, 29 July 2026)

Two enterprise values, two questions. The division pages allocate today's market enterprise value across the divisions; the target-price bridge states what each is worth on this report's own estimates. For A350 Freighter the two readings are 7.5 billion allocated and 7 billion warranted.

HISTORICAL AND FORECAST MULTIPLES

METRIC	2019A	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	NORM. AVG. 2019-2024 (OUTLIERS DROPPED)
P/E	-76.52x	-60.15x	21.14x	21.13x	30.51x	29.98x	33.66x	23.13x	18.62x	18.98x	25.69x
P/E adjusted	-77x	-60x	21x	21x	31x	30x	34x	23.1x	18.6x	19.0x	26x
EV/EBITDA	27.93x	21.88x	12.20x	14.22x	16.18x	15.55x	18.31x	13.19x	11.27x	10.97x	18.00x
EV/EBIT	146.61x	162.03x	18.07x	17.45x	24.69x	24.79x	27.53x	17.75x	14.62x	14.96x	21.25x
EV/Sales	1.43x	1.43x	1.67x	1.41x	1.61x	1.72x	1.98x	1.79x	1.59x	1.54x	1.55x
P/FCF	102.88x	-38.60x	26.93x	18.15x	-91.18x	540.56x	131.63x	124.0x	128.0x	26.6x	49.32x
P/BV	16.97x	10.91x	9.32x	6.75x	6.23x	6.24x	6.70x	5.49x	4.54x	3.95x	7.89x
P/S	1.44x	1.41x	1.69x	1.49x	1.68x	1.77x	2.03x	1.83x	1.63x	1.57x	1.58x
Dividend yield	1.3%	—	—	1.4%	1.3%	1.2%	1.1%	1.6%	2.0%	1.9%	1.3%

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	2026E EV/EBITDA	2026E EV/EBIT	2026E EBIT MARGIN
Airbus	13.2x	17.8x	10.1%
Lockheed Martin	10.4x	12.2x	12.1%
Saab	23.8x	32.4x	10.5%
Textron	10.5x	14.4x	7.4%
Embraer	5.2x	7.1x	9.2%
Peer median	10.4x	12.2x	10.4%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE (12M DISC.)	WEIGHT
· Commercial Narrowbody Aircraft	2027E Modelled EBITDA	6,104.8	12.5x	96.7 → 88.5 EUR	
· Commercial Aviation Services	2027E Modelled EBITDA	1,220.96	15.0x	23.2 → 21.2 EUR	
· Commercial Widebody Aircraft	2027E Modelled EBITDA	1,090.14	14.0x	19.3 → 17.7 EUR	
· Helicopters	2027E Modelled EBITDA	939.2	13.0x	15.5 → 14.2 EUR	
· Military Air Systems	2027E Modelled EBITDA	890.28	12.0x	13.5 → 12.4 EUR	
· Space Systems and Intelligence	2029E Modelled EBITDA	1,017.47	12.0x	15.5 → 11.9 EUR	
· A350 Freighter (probability-weighted)	Expected enterprise value	n/a	n/a	8.9 EUR	
· · base success	2030E Modelled EBITDA ...	800	12.0x	12.2 → 3.8 EUR	45% prob.
· · bull success	2030E Modelled EBITDA ...	1,353.06	12.0x	20.6 → 5.1 EUR	35% prob.
Sum of the parts	2026E SOTP enterprise v...	n/a	n/a	179.3 EUR	100%
Weighted target price				179.3 EUR	100%

SENSITIVITY — IMPLIED SHARE PRICE

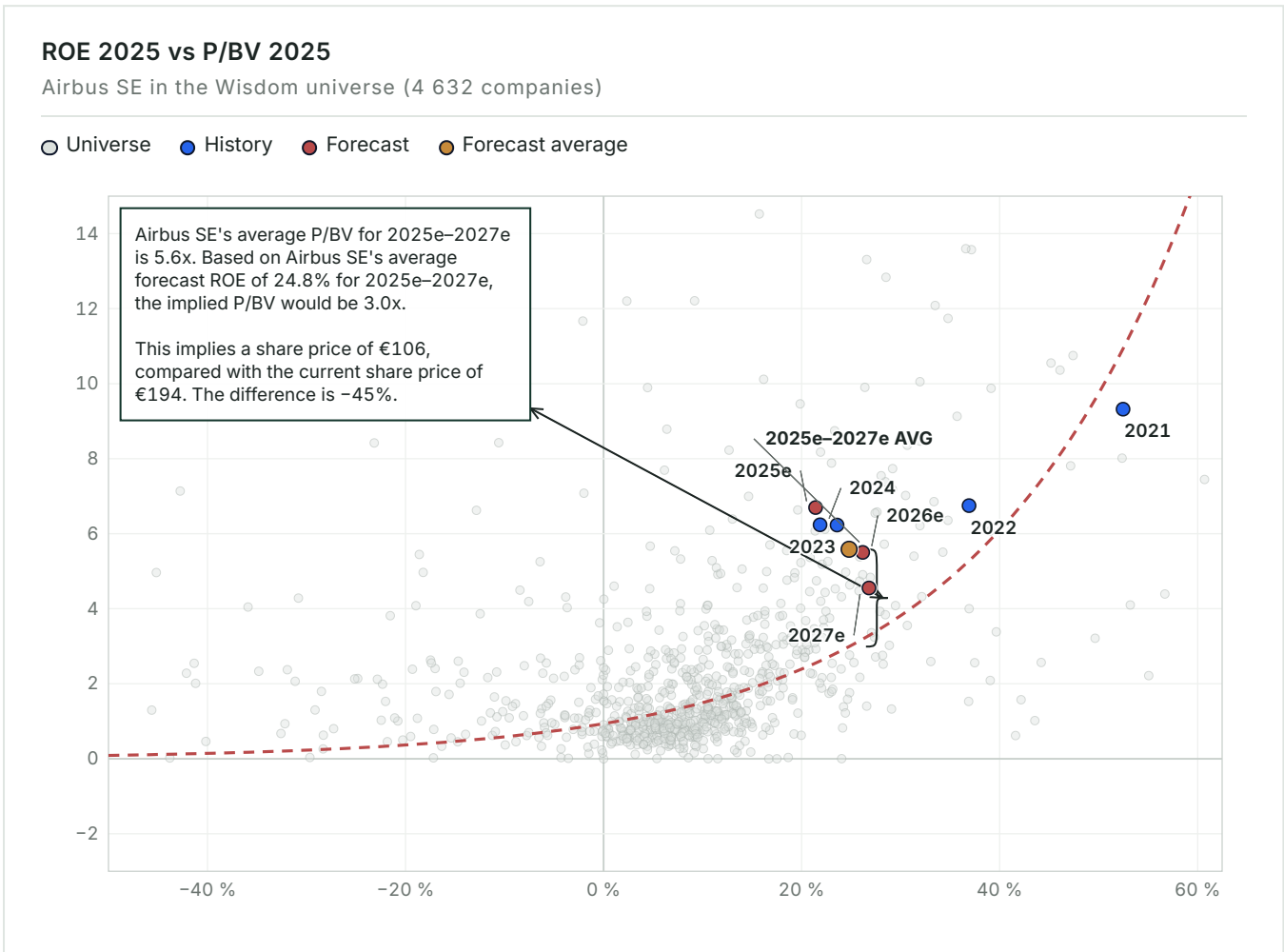
A350 FREIGHTER SUCCESS PROBABILITY	8.4X	10.2X	12.0X	13.8X	15.6X
40%	173.5	174.2	174.8	175.5	176.2
60%	175.1	176.1	177.1	178.1	179.1
80% (bridge case)	176.6	177.9	179.3	180.6	181.9
100%	178.2	179.8	181.5	183.2	184.8

VALUATION MAP

ROE vs P/BV — pricing versus profitability

18

The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Airbus's 2025–2027 average forecast ROE of 24.8% supports a premium valuation. However, the cross-sectional curve implies only 3.0x P/BV at that return, versus Airbus's 5.6x average forecast P/BV. Applied to €35.5 of average book value per share, the curve indicates €106.2, 45% below the €193.6 current price. Investors are therefore valuing backlog, customer advances and programme positions that book equity does not capture well.

MULTIPLES & SENSITIVITY

19

Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2025
P/E	33.7×
EV/EBITDA	18.3×
EV/EBIT	27.5×
P / Valuatum FOCF	131.6×
P/BV	6.7×
Dividend Yield	1.1%
Net Debt / EBITDA	-0.5×

EBITDA × EV/EBITDA sensitivity					
2027E GROUP EBITDA (€M)	10.0×	11.0×	12.0×	13.0×	14.0×
EV/EBITDA →					
-20%	EUR 65,130m	EUR 71,643m	EUR 78,156m	EUR 84,669m	EUR 91,182m
EUR 6,513m	EUR 87.10 / sh	EUR 95.30 / sh	EUR 103.60 / sh	EUR 111.80 / sh	EUR 120.10 / sh
-10%	EUR 73,270m	EUR 80,597m	EUR 87,924m	EUR 95,251m	EUR 102,578m
EUR 7,327m	EUR 97.40 / sh	EUR 106.70 / sh	EUR 115.90 / sh	EUR 125.20 / sh	EUR 134.50 / sh
Base	EUR 81,410m	EUR 89,551m	EUR 97,692m	EUR 105,833m	EUR 113,974m
EUR 8,141m	EUR 107.70 / sh	EUR 118.00 / sh	EUR 128.30 / sh	EUR 138.60 / sh	EUR 148.90 / sh
+10%	EUR 89,550m	EUR 98,505m	EUR 107,460m	EUR 116,415m	EUR 125,370m
EUR 8,955m	EUR 118.00 / sh	EUR 129.30 / sh	EUR 140.70 / sh	EUR 152.00 / sh	EUR 163.40 / sh
+20%	EUR 97,700m	EUR 107,470m	EUR 117,240m	EUR 127,010m	EUR 136,780m
EUR 9,770m	EUR 128.30 / sh	EUR 140.70 / sh	EUR 153.10 / sh	EUR 165.50 / sh	EUR 177.80 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	84,000	10,080	12.0%	13.0×	130,901	134,499	EUR 170.39	-12.0%
Base	93,700	13,222	14.1%	10.4×	137,922	141,520	EUR 179.28	-7.4%
Bull	102,000	15,810	15.5%	9.0×	142,298	145,896	EUR 184.82	-4.5%

KEY CONDITIONS

Bear assumes prolonged engine constraints, weak H2 cash conversion, no A350F value and renewed space charges. Base assumes progressive delivery-rate improvement, service-mix expansion and contained programme risk. Bull requires supply normalisation, substantial inventory release, successful A350F certification and stronger profit conversion across commercial aircraft. Each scenario follows the target-price bridge: modelled profit engines plus A350 Freighter at zero in Bear, at the bridge's probability weighting in Base, and at the best single scenario leg with certainty in Bull. The multiple column is therefore implied group EV/EBITDA, not a selected multiple. The code-verified 12-month target of EUR 179.3 sits between Base and Bull: Bear EUR 170.4, Base EUR 179.3, Bull EUR 184.8. Method weights are shown in the Target Price Bridge.

THESIS BREAKER

A sustained production ceiling combined with renewed space charges would invalidate the base operating and valuation case.

CATALYSTS

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Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
H2 deliveries required to retain the 870-aircraft objective	NEAR-TERM	Commercial Narrowbody Aircraft	519 commercial deliveries in H2	Tests backlog-to-cash conversion
A350F maiden flight	NEAR-TERM	A350 Freighter	Target 24 September 2026	Reduces technical failure probability
Finished-aircraft inventory release	NEAR-TERM	Commercial Narrowbody Aircraft	Inventory below €46.9bn peak	Improves cash quality
A320-family exit rate reaches 70-75 per month	MEDIUM-TERM	Commercial Narrowbody Aircraft	End-2027 monthly production	Supports €6.1bn EBITDA bridge
Services outgrow active fleet	MEDIUM-TERM	Commercial Aviation Services	Revenue per active aircraft rises	Supports premium multiple
A350F simultaneous EASA and FAA certification	MEDIUM-TERM	A350 Freighter	Q2 2027 certification	Unlocks first-delivery option
Space programmes sustain positive clean margin	MEDIUM-TERM	Space Systems and Intelligence	No new material provisions	Validates turnaround EV
Adjusted EBIT reaches management's outlook	LONG-TERM	Commercial Narrowbody Aircraft	€12-13bn in 2029	Enables bull valuation

READ - THROUGH

The near-term catalyst is delivery conversion, not another order announcement. Airbus must deliver 519 commercial aircraft in H2 2026 to reach approximately 870, release work in progress and convert the H1 cash outflow into customer receipts. Inventory and free cash flow will show whether production is moving or simply building unfinished aircraft. Medium-term catalysts broaden the case. Services must grow faster than the active fleet, Space must complete re-baselined milestones without further large charges, and A350F must complete first flight and simultaneous certification. By 2029, the test is whether these improvements support management's €12-13 billion Adjusted EBIT outlook.

RISKS

Risk register

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Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Engine and equipment shortages	Commercial Widebody Aircraft	Aircraft remain unfinished, delaying revenue and customer cash.	Inventory rises while delivery guidance becomes back-end loaded.	HIGH	THEESIS BREAKER
Working-capital conversion fails	Commercial Aviation Services	Higher earnings fail to translate into free cash flow.	H2 receipts do not reverse the €1.2bn H1 outflow.	HIGH	THEESIS BREAKER
Further fixed-price space charges	Military Air Systems	Provisions absorb defence earnings and consume cash.	New OneSat delays or cost-to-complete revisions.	HIGH	MANAGEABLE
Airline profitability weakens	Commercial Widebody Aircraft	Customers defer deliveries or seek concessions.	Deferrals rise after the 2026 fuel shock.	MEDIUM	MANAGEABLE
A350F certification slips into 2028	Commercial Widebody Aircraft	Option value is discounted and cancellation risk rises.	Maiden flight or cargo-door work slips again.	MEDIUM	MANAGEABLE
European budgets do not become Airbus orders	Space Systems and Intelligence	Policy spending shifts to imports or other capabilities.	Funded air-system awards lag headline budgets.	MEDIUM	STRUCTURAL
Rotorcraft substitution by autonomous systems	Helicopters	Selected military missions require fewer crewed aircraft.	More retirements follow the UK Wildcat decision.	MEDIUM	STRUCTURAL

READ-THROUGH

The greatest risk is a prolonged production constraint combined with weak cash conversion, rather than one delayed supplier part. In this outcome, Airbus absorbs inventory, compensation and financing costs while the market continues to capitalise a delivery recovery that keeps moving out. Space and defence risks are more programme-specific, but can still affect group valuation through provisions and engineering demands. A350F delay is partly contained by probability weighting, while helicopter autonomy risk is gradual. Early warnings should come from physical deliveries, inventory, funded orders and programme milestones, rather than broad demand commentary.

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2022	2023	2024	2025 E	2026 E	2027 E
Net Sales	58,763	65,446	69,230	75,143	83,323	93,700
EBITDA	5,818	6,508	7,657	8,141	11,302	13,222
EBITDA margin	9.9%	9.9%	11.1%	10.8%	13.6%	14.1%
Depreciation	-1,076	-2,242	-2,853	-2,726	-2,904	-3,027
Operating Profit (EBIT)	4,742	4,266	4,804	5,415	8,398	10,195
EBIT margin	8.1%	6.5%	6.9%	7.2%	10.1%	10.9%
Net financial items	333	503	621	928	-178	16
Pre-tax Profit	5,075	4,769	5,425	6,343	8,220	10,211
Net Earnings	4,136	3,613	4,078	4,538	6,611	8,212
PER SHARE						
EPS	5.3	4.6	5.2	5.8	8.4	10.4
DPS	1.5	1.8	1.8	2.1	3.1	3.8
Payout ratio	28.5%	39.3%	34.9%	36.6%	36.6%	36.6%

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2022	2023	2024	2025 E	2026 E	2027 E
ASSETS						
Tangible assets	16,505	17,201	19,112	20,396	22,617	25,433
Intangibles	3,603	3,788	3,730	4,049	4,489	5,048
Goodwill	13,165	13,141	13,449	13,449	13,449	13,449
Non-current assets	48,259	51,422	56,276	57,879	60,540	63,916
Inventories	27,157	27,740	31,046	33,051	36,649	41,213
Receivables	20,022	19,792	23,383	24,183	25,133	26,338
Cash & equivalents	15,823	16,469	15,003	17,203	19,076	21,451
Current assets	63,002	64,001	69,432	74,438	80,858	89,003
Total Assets	115,944	118,871	129,213	135,822	144,903	156,424
EQUITY & LIABILITIES						
Equity	12,982	17,730	19,696	22,883	27,831	33,621
Long-term debt	9,139	8,806	8,659	6,501	7,725	9,521
Short-term debt	110	899	667	6,501	7,725	9,521
Long-term liabilities	48,469	45,413	46,674	44,516	45,740	47,536
Current liabilities	52,595	53,750	60,623	68,152	71,061	74,996
Total liabilities & equity	115,944	118,871	129,213	135,822	144,903	156,424
CAPITAL STRUCTURE & RATIOS						
Net debt	-4,840	-5,147	-3,728	-4,201	-3,626	-2,409
Capital invested	6,408	10,966	14,019	18,682	24,205	31,211
Equity ratio	11.2%	14.9%	15.2%	16.8%	19.2%	21.5%
Gearing	-37.3%	-29.0%	-18.9%	-18.4%	-13.0%	-7.2%
Net debt / EBITDA	-0.8×	-0.8×	-0.5×	-0.5×	-0.3×	-0.2×
Current ratio	1.2	1.2	1.2	1.1	1.1	1.2

E = Valuatium estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2022	2023	2024	2025 E	2026 E	2027 E
OPERATIONS						
Cash from operations (model)	4,723	5,868	7,139	6,154	6,653	7,608
Operating cash flow (Valuatum calculation)	4,089	6,919	6,525	5,490	6,796	7,596
Change in working capital	1,257	-13	-208	1,111	2,862	3,631
INVESTING & FREE CASH						
Gross capex	2,305	5,405	7,707	4,329	5,565	6,403
Capex (ex. M&A)	-2,305	-5,405	-7,707	-4,329	-5,565	-6,403
Cash after capex (CFO - gross capex)	2,418	463	-568	1,825	1,088	1,206
Free operating cash flow (Valuatum def.)	4,815	-1,209	226	1,161	1,231	1,193
Free cash flow to firm	4,815	-1,209	226	1,161	1,231	1,193
FINANCING						
CF from financing	-87	-1,249	-751	375	785	1,170
Dividends paid	—	-1,181	-1,420	-1,422	-1,663	-2,422
Net change in cash	2,331	-786	-1,319	2,200	1,873	2,376

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, EUR MILLIONS								
	Q1/23	Q2/23	Q3/23	Q4/23	Q1/24	Q2/24	Q3/24	Q4/24
Net Sales	11,763	15,900	14,897	22,886	12,830	15,995	15,689	24,716
EBITDA	885	1,993	1,259	2,371	1,037	1,498	1,672	3,450
EBITDA margin	7.5%	12.5%	8.5%	10.4%	8.1%	9.4%	10.7%	14.0%
Comparable EBIT	390	1,446	692	1,738	524	712	1,107	2,461
EBIT margin	3.3%	9.1%	4.6%	7.6%	4.1%	4.5%	7.1%	10.0%
Net Earnings	438	1,014	762	1,399	552	181	938	2,407
EPS	0.6	1.3	1	1.8	0.7	0.2	1.2	3.1

CURRENT YEAR — QUARTERLY, EUR MILLIONS				
	Q1/25	Q2/25	Q3/25	Q4/25 <i>E</i>
Net Sales	13,542	16,068	17,826	26,827
EBITDA	1,166	1,637	2,292	3,660
EBITDA margin	8.6%	10.2%	12.9%	13.6%
Comparable EBIT	540	1,001	1,639	2,671
EBIT margin	4.0%	6.2%	9.2%	10.0%
Net Earnings	745	699	1,085	2,443
EPS	0.9	0.9	1.4	3.1

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Financial statements and forecast model	Valuatum Wisdom model 13907, snapshot period 2025	FINANCIAL SNAPSHOT	Financials, forecasts & valuation
Share-price history and market profile	Financial Modeling Prep, AIR.DE financialmodelingprep.com	MARKET DATA	Price chart & market facts
FY 2025 Financial statements	www.airbus.com/.../airbus_fy_2025_financial_statements.pdf	OFFICIAL SOURCE	Reported segment table
Airbus reaffirmed its full-year 2026 guidance, targeting ap...	www.airbus.com/.../airbus-reports-half-year-h1-2026-results	OFFICIAL SOURCE	Airbus SE
The company announced a new mid-term outlook targeting an A...	www.airbus.com/.../business-update-2026	OFFICIAL SOURCE	EQS News / Airbus
René Obermann will step down as Chair of the Board of Direc...	www.airbus.com	OFFICIAL SOURCE	Airbus SE
Airlines are projected to spend USD 4.3 billion on Sustaina...	www.iata.org/.../saf-production-disappointing	OFFICIAL SOURCE	IATA
On 21 May 2026, the Paris Court of Appeal convicted Airbus...	www.airbus.com	OFFICIAL SOURCE	Airbus SE

DISCLAIMER

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